Tactical opportunities

- **Lower oil, stable USD, softer inflation alongside light positioning support tactical EM LCY rates exposure**
- **Rich valuations limit broad yield compression, favouring selective carry and roll over outright duration**
- **In Asia, we are *Positive* on KTBs, move to *Neutral* (from *Positive*) on SGS and remain *Neutral* elsewhere**
- **Africa fixed income returns mostly carry-led; Egypt and Nigeria bills continue to offer attractive returns**
- **Emerging Europe remains exposed to energy price and fiscal risks; receiving Czech rates is our top pick**
- **In Latam, we are *Positive* on Brazil, Mexico; we move Colombia to *Neutral*, stay *Neutral* on Chile and Peru**

Selectively positive; supportive carry

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Asia

- Lower oil prices and a stable USD are easing inflation pressures across key Asian markets, providing a more supportive backdrop for regional LCY rates.
- We stay *Positive* on KTBs on softer inflation, KRW appreciation and WGBI inclusion. We turn *Neutral* on SGS on tighter liquidity and heavier duration supply.
- We remain *Neutral* on IGBs and RPGBs. Strong FPI inflows support IGBs, but inflation risks limit upside. Elevated Philippine inflation and weak foreign participation remain key headwinds to RPGBs.

Africa

- In South Africa, SAGB yields have partly retraced from July highs, though a lingering SARB tightening risk may limit further gains.
- Nigeria OMO bills still offer robust carry amid capped spot upside; focus is now on whether the opening of the OMO market to local non-bank investors could lead to lower OMO yields and a back-up in FGN T-bill yields.
- Egypt T-bill yields still offer value, despite less predictable returns this year due to increased FX vol volatility.
- Kenya infra bonds offer moderate carry amid an anchored KES; we move Kenya rates to *Neutral* from *Defensive* and Tanzania rates to *Defensive* from *Neutral*. The 21 August Zambia bond auction is in focus amid improved liquidity and potential post-election inflows.

Emerging Europe

- In the Czech Republic, we are biased to receive front-end swaps on spikes given policy space provided by earlier tightening.
- Hungary and Poland budget announcements this month raise near-term rates uncertainty, and will be closely watched by markets.
- We remain *Neutral* on Türkiye rates, given upside inflation risks and our view that too much easing is priced in.

Latam

- Latam local markets have seen strong performance, albeit with significant divergence between countries.
- We continue to see value in Brazil and Mexico rates given high real yields and overly hawkish implied monetary policy paths.
- We move Colombia rates to *Neutral* following a strong election-driven rally; we remain *Neutral* on Chile and Peru.

Top trade ideas and biases

Asia
Buy Indonesia 12M SRBI, FX-hedged
Receive 2Y MYR NDIRS (bias)
Receive 2Y KRW swaps (bias)
Receive 5Y THOR swaps (bias)
Africa
Buy Egypt 12M T-bills
Buy Nigeria 19 Jan 2027 CBN OMO bills
Buy Nigeria Feb 2034 bond
Buy Oct 2035 KENIB (bias)
Emerging Europe
Receive front-end CZK swaps (bias)
Latam
Receive 2Y CLP/Camara swaps (bias)
Receive Jan '29 DI swaps (bias)

Figure 1: Rates dashboard

Local-currency bond duration and curve outlook

Asia	Duration outlook	Curve outlook	3M FX weighting	Bond positioning Local	Bond positioning Foreign	Comments
India	Neutral	Steepen	Neutral	Neutral	Neutral	Upside risks to inflation amid volatile global crude oil prices pose headwinds to IGBs
Indonesia	Neutral	Steepen	Neutral	Neutral	Light	Hawkish Fed, USD strength may outweigh positives such as manageable inflation
Malaysia	Neutral	Steepen	Overweight	Neutral	Light	2Y MYR NDIRS has backed up to a three-year high; we are biased to receive if liquidity pressures begin to ease.
Pakistan	Neutral	Steepen	Neutral	Neutral	Light	Still-high inflation and duration supply to weigh on PKR bonds
Philippines	Neutral	Steepen	Neutral	Neutral	Light	We are cautious on RPGB duration amid supply, PHP weakness
Singapore	Neutral↓	Steepen	Overweight	Neutral	Neutral	We prefer paying 5Y SORA; 1Y/5Y steepener; we see widening 10Y SGS/SORA spreads
South Korea	Positive	Steepen	Neutral	Neutral	Heavy	We prefer receiving 1Y-2Y KRW IRS for carry; buying 5Y-10Y KTBs
Thailand	Neutral	Stable	Neutral	Neutral	Light	We prefer receiving 5Y THOR, buying 5Y loan bonds; FX hedge provides yield pick-up
Africa						
Egypt	Neutral	Stable	Neutral	Neutral	Heavy	T-bills offer value given high yields vs peers, but higher FX vol has made returns less predictable; value in bonds still looks limited
Ghana	Neutral	Stable	Neutral	Neutral	Light	Bond yields have backed up as further bond issuance is awaited; focus is on whether GoldBod FX sales ease FX imbalances
Kenya	Neutral↑	Steepen	Neutral	Neutral	Light	Supply risks persist despite stable inflation, though strong KENIB demand may help alleviate long-end KENGB supply pressure.
Nigeria	Neutral	Steepen	Neutral	Heavy	Heavy	Bill carry remains attractive; improved FCY financing has reduced pressure on bond yields despite sizeable issuance needs
South Africa	Neutral	Stable	Neutral	Neutral	Neutral	SAGB yields have retraced from July highs, but returns are likely to be largely carry-driven as further compression appears limited
Tanzania	Defensive↓	Flatten	Neutral	Neutral	Light	Yields have backed up from very rich levels; portfolio inflows post-market liberalisation may be modest; USD-TZS is drifting higher
Uganda	Neutral	Stable	Neutral	Heavy	Heavy	Supply risks make duration gains uncertain; carry-led returns are likely despite FX vol; some investors may lighten, offsetting inflows
Zambia	Neutral	Flatten	Neutral	Neutral	Heavy	Potential post-election inflows and supportive liquidity (boosted by the SRR cut) support auction demand; ZMW levels look cheaper
Emerging Europe						
Czech Republic	Positive	Stable	Neutral	Neutral	Neutral	Market rate-hike pricing has partly unwound since end-July, and this may extend further given headroom provided by the June hike
Hungary	Neutral	Flatten	Neutral	Heavy	Heavy	We are less dovish than markets on the chance of an outsized NBH rate cut in August, but we still expect further easing this year
Poland	Neutral	Stable	Neutral	Neutral	Light	Uncertainty on 2027 budget plans (due in late August) offsets potential for further positive external developments
Türkiye	Neutral	Stable	Overweight	Neutral	Neutral	Türkiye rates have rallied since late July, in line with oil prices, but remain volatile; we prefer FX exposure to extract carry
Latam						
Brazil	Positive	Steepen	Overweight	Neutral	Neutral	We remain biased to receive rates, as we think current market-implied pricing is still too hawkish, even with a prolonged BCB pause
Chile	Neutral	Stable	Neutral	Neutral	Light	Hawkish repricing at the front end of the curve has overshot, in our view, but low real yields offer little value for the rest of the curve
Colombia	Neutral↓	Stable	Overweight	Neutral	Heavy	We think fiscal challenges and execution risks will curtail further risk premium compression; we move to *Neutral* from *Positive*
Mexico	Positive	Flatten	Neutral	Neutral	Neutral	We remain *Positive* on Mexico duration given high real yields, hawkish monetary policy pricing and a steep curve
Peru	Neutral	Flatten	Neutral	Neutral	Neutral	We remain *Neutral* on Peru duration, as the market is focusing on supply and El Niño risks ahead

Duration outlook: Positive = The sum of bond duration and bond carry (bond yield vs local funding cost) is positive
FX outlook: Overweight = Local currency will outperform 3M forward outright vs USD
For duration and FX outlook, ↑: Upgrade from previous month; ↓: Downgrade from previous month; No arrow: No change in view from previous month
Bond market positioning refers to analyst's assessment of how local and foreign investors are positioned in the local bond market, based on publicly available data. It does not represent a recommendation by the analyst.
Source: Standard Chartered Research

Top rates trades and biases

Buy Indonesia 12M SRBI, FX hedged (*active trade*)

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Entry: 4.78% (12M SOFR + 90bps), target: 3.98%, stop-loss: 5.18%, current: 73bps

We think 12M SRBI yields – which are still near the highest levels since the instrument was launched in 2023 – offer an attractive entry point. As a result, investors can earn an attractive spread over 12M SOFR, even after hedging FX risk. We recommend that investors lock in this spread and hold the trade to maturity (*Indonesia rates – A window of opportunity*).

Receive 2Y MYR NDIRS (trading bias)

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2Y MYR NDIRS has backed up to its highest level in three years, with the spread to 3M KLIBOR (c.15bps) at its widest since October 2023. Recent data shows that Malaysia's deposit growth accelerated to c.4.4% y/y in June from 3.0% in May, narrowing the gap with loan growth of c.5.5% y/y. While loan growth continues to outpace deposit growth, improved deposit momentum should rein in a further intensification of deposit competition and ease funding pressure contributing to elevated 3M KLIBOR fixings – particularly if Q3 bond maturities provide additional liquidity support. The market is currently pricing in c.20bps of BNM rate hikes over the next 12 months, which looks somewhat stretched, in our view. We maintain our bias to receive 2Y MYR NDIRS and will look to add positions opportunistically if term liquidity pressures begin to ease.

Receive 2Y KRW swaps (trading bias)

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The KRW has gained c.4.5% since the BoK's July meeting, outperforming Asian peers. Headline CPI inflation slowed to 2.8% y/y in July from 3.2% prior (and below consensus expectations of 3.0%). Core inflation (ex-food and energy) rose to 2.6% y/y from 2.5%. Though the core print supports the case for further tightening, KRW gains and the moderation in headline CPI do not indicate any urgency for a back-to-back hike in August. The negative rates seasonality effect in H2 this year is likely to be dampened by a rise in bank deposits, including by corporates. A rise in equity market volatility is likely to slow retail deposits' flight to equities and leveraged products in Q3. The Korea forward rate agreement curve implies c.65bps of Bank of Korea (BoK) hikes by end-2026 (in addition to the 25bps hike delivered in July), c.110bps of hikes by end-2027 and a terminal rate slightly above 3.90%. Receiving 2Y KRW swaps benefits from c.18bps of quarterly carry.

Receive 5Y THOR swaps (trading bias)

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We expect 5Y THOR and THB loan bonds (LBs) to remain supported by demand from local banks and real-money investors. THB local liquidity conditions remain ample at c.THB 2.5tn. Banks and financial corporations are recycling their excess liquidity in the belly of the curve for carry amid a likely prolonged on-hold policy rate regime and a deterioration in domestic credit quality. Bid-to-cover ratios at LB auctions have recovered in Q3 and remain stable. Local banks, financial corporations and the Bank of Thailand (BoT) bought c.80% of net LB issuance in the first three quarters of FY26 (ends September). The BoT governor and other policy makers have said that a 1% policy rate remains appropriate, inflationary pressures are likely to be short term, and that a rise in bad loans would need monitoring. Receive 5Y THOR swaps provide c.8bps of quarterly carry.

Buy Egypt 12M T-bills (active trade)

Entry: 23.35%, target: 23.35%, stop-loss: 27.00%

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Given the recent back-up in rates, we see value in high-yielding T-bills (12M: 25.06% WAY at the 6 August auction). Still-decent convertibility also continues to anchor positions in the local market, though higher FX volatility this year has made returns less predictable than in the past. We see limited value in fresh bond positions at this point given the inverted curve, delayed Central Bank of Egypt (CBE) easing and poor bond liquidity (see *Egypt – Staying the course*). Meanwhile, the EGP has tracked shifts in global risk sentiment and portfolio flows, despite a partial recovery from the March lows. Against this backdrop, NDF positioning may remain tactical; NDF implied yields could prove sticky, as investors are likely to rebuild asset swap positions when the basis between T-bills and NDFs widens.

Buy Nigeria 19 Jan 2027 CBN OMO bills (active trade)

Entry: 18.60%, target: 18.60%, stop-loss: 24.00%

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Central Bank of Nigeria (CBN) OMO bills continue to offer attractive carry and broadly predictable returns amid capped USD-NGN upside. Foreign holdings remain concentrated in OMOs despite the shift to shorter tenors, while net portfolio flows have stayed modestly positive since March. FGN T-bill yields have also become more attractive following their recent rise. The tax status of OMO bills is still unclear, while banks have begun withholding tax on FGN T-bills even though the government has yet to introduce a formal collection mechanism. Meanwhile, stronger reserve buffers and additional FCY financing should support confidence, while USD-NGN upside appears capped by the CBN's willingness to sell USD when FX pressures emerge. The main risk is that OMO yields gradually moderate as the CBN resumes easing or that participation broadens following the opening of the OMO market to local non-bank investors.

Buy Feb 2034 NIGB (active trade)

Entry: 19.5%, target: 14.5%, stop-loss: 23.00%

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NIGB yields have retraced from their early-July highs as improved FCY financing expectations have reduced concerns about domestic funding needs. While bond supply remains sizeable and future auction sizes could still create volatility, the DMO has already raised c.NGN 11.3tn net YTD, reducing the risk of a sustained rise in yields. Improved FCY financing prospects – including planned Eurobond issuance, the recently secured NNPC oil-backed facility, and scope for additional TRS drawdowns – could give the authorities greater flexibility on bond auction allocations. Carry remains more attractive than duration for now, but renewed bond cheapening could provide opportunities to build exposure ahead of eventual CBN easing and a more durable post-election rally. Significant carry should help compensate for the still-inverted curve and a gradual easing cycle, while improved FCY financing may help to contain further upward pressure on yields.

Buy Oct 2035 KENIB (trading bias)

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We favour the Oct-35 KENIB as a carry trade. While KENIB yields are not especially compelling in nominal terms, FX risks should remain limited given the CBK's preference for FX stability, rising reserves and expected external financing. We prefer the Oct-35 over the 2039s and 2042s, as we think the limited yield pick-up at the long end does not adequately compensate for the additional duration, inflation and election-cycle risks.

Receive front-end Czech swaps (trading bias)

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Although FRAs have already priced out nearly one 25bps rate hike (over the next two years) since oil prices started declining on 23 July, we still think market pricing is overly hawkish. Markets currently expect the same amount of 1M policy tightening as they did in mid-July (c.10bps), despite clearer recent central bank signalling that a September hold is likely. Policy decisions beyond September are uncertain, but we think the median MPC voter is leaning towards one 25bps hike at most, rather than two implied by markets. Our base case is no further tightening, as (1) rates differentials versus the ECB are buoyed by CZK resilience and the CNB's pre-emptive June hike; and (2) we expect weaker pass-through from credit growth to GDP (as reflected in recent weak retail sales data) than the CNB does. 1Y1Y receivers benefit from positive roll (c.8bps over a six-month horizon), providing a cushion against a potential resurgence of geopolitical tensions.

Receive 2Y CLP/Camara swaps (trading bias)

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We remain *Neutral* on Chile rates given low real yields. However, we see value in receiving the front end of the CLP/Camara swap curve, which has undergone a hawkish repricing since early July. In the process, the implied monetary policy path has switched from pricing in about 10bps of rate cuts to about 55bps over the next two years. While we acknowledge upside risks to inflation if oil prices surge again, we believe the bar for a hike is relatively high, and we consider a prolonged hold more likely. In addition, recent inflation and oil price dynamics have been supportive and inflation expectations remain contained. We are biased to receive the 2Y rate, which has risen 50bps over the past month – an overshoot, in our view. At a combined carry and roll-down of 24bps p.a., we believe this is a good way to position for a reduction of implied tightening at the short end of the curve.

Receive Jan '29 DI swaps (trading bias)

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We remain *Positive* on Brazil rates, as we believe market-implied monetary policy rates are still too high, even after the latest rally. We think the implied terminal rate of around 14.0% is too high for the economy in the medium term; we expect BCB to pause until after the October elections, before resuming cuts in Q4-2026 and taking the policy rate to 11.75% by end-2027. Hence, we remain biased to receive rates outright in the intermediate sector of the DI curve (Jan '28 or Jan '29) – which is still trading more than 145-170bps higher than at the start of the Iran conflict.

EM rates overview

Tactical support, but limited room for broad compression

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The EM LCY asset class has entered a more constructive tactical window in August, although we see limited scope for a sustained and broad-based duration rally. The retracement in oil prices from recent peaks, a more stable USD and softer inflation momentum have reduced immediate pressure on EM central banks to hike. Recent downside inflation surprises across several markets are encouraging, with commodity and input-price momentum moderating and imported inflation pressures easing. We expect this to provide a more supportive near-term backdrop for the asset class if geopolitical tensions continue to fade. YTD, EM LCY debt has posted gains of 1.66% on an FX-unhedged basis and 0.48% on an FX-hedged basis.

Carry and roll are the main sources of returns in EM rates

Investor positioning also provides some support. Many investors reduced exposure during the June sell-off and foreign positioning remains relatively light, while the latest average fund cash levels (as of June) remain at c.5.1%, above the one-year average of 4.6%. June levels are still 1ppt lower than in April, suggesting that some of this cash has started to return, but we do not think positioning is crowded yet. Positive carry and attractive rolldown in parts of EM should encourage further deployment, particularly in markets where investors are well compensated for holding duration.

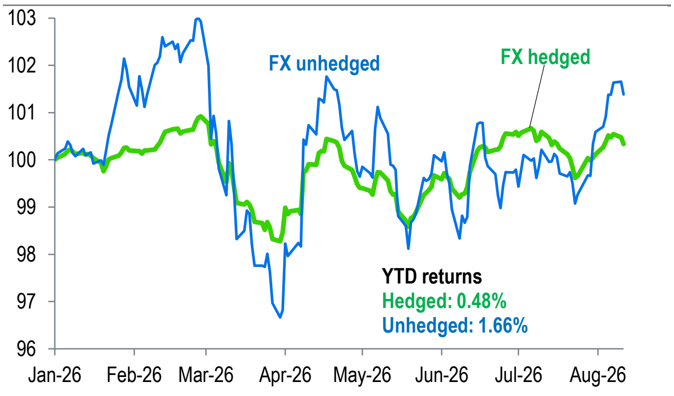
EM LCY asset class valuations are rich

However, valuations remain rich, in our view. Much of the rise in EM LCY yields during the oil shock in early May has reversed. Relative valuations of EM LCY debt also still look rich. The current EM/DM real yield spread is c.136bps, and the EM/DM nominal yield spread is c.185bps – both narrower than their past-10-year averages of 217bps and 330bps, respectively. Additionally, the GBI-EM-GD spread over USTs remains narrow at c.176bps. While we see similar rich valuations in EM HC debt, YTD inflows to the asset class exceed inflows to EM LCY debt. Even in EM IG, narrow spreads leave limited room for further compression, making returns more dependent on UST moves. In contrast, wider EM HY spreads provide a greater buffer against UST volatility (though macro risks remain elevated).

We are selectively constructive on EM LCY markets

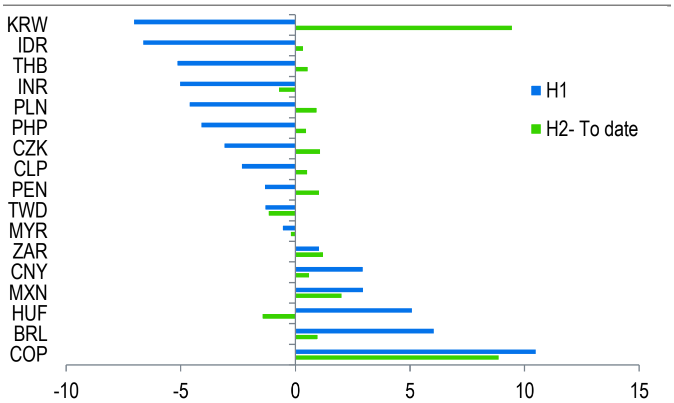
Overall, we remain tactically constructive but selective in EM LCY markets. Softer inflation, stable FX and light positioning are supportive, but elevated global yields and tighter valuations limit the case for a broad rally. We therefore expect carry, relative value and idiosyncratic country differentiation to continue to drive EM LCY returns. We are *Positive* on Brazil and Mexico rates in Latam, Czech rates in CEE, and Korean rates in Asia.

Figure 2: EM LCY debt performance has improved recently
Indices rebased to 100 as of 31 December 2025*



*Bloomberg EM LCY 10% country cap index; Source: Bloomberg, Standard Chartered Research

Figure 3: EM FX returns have fared better since end-June
Spot returns, %



Source: Bloomberg, Standard Chartered Research

Asia

We are Positive on KTBs, move to Neutral (from Positive) on SGS; we stay Neutral on the rest of Asia

Lower oil prices and a stable USD have been key tailwinds for many oil-importing Asian local markets, and have softened inflation momentum in key markets such as Korea, Thailand and Indonesia. We stay *Positive* on KTBs, switch to *Neutral* (from *Positive*) on SGS and remain *Neutral* on the rest of the region. In Korea, KTBs remain supported by lower CPI inflation and KRW appreciation (which reduce the likelihood of back-to-back rate hikes), the recycling of AI-related tax revenue into targeted fiscal support, and upcoming WGBI inclusion. Our shift to *Neutral* on SGS is underpinned by domestic liquidity tightening, increased SGS duration supply and a lack of maturities in Q3. In the Philippines, RPGB yields are likely to stay elevated on still-high inflation, with further upside risk from El Niño and minimum wage hikes. Foreign participation in RPGBs has also slowed amid geopolitical uncertainty and PHP underperformance. In India, FPI inflows are supportive of IGBs, but inflation risks remain tilted to the upside, with the policy-rate easing cycle likely near its trough.

Africa

Africa's LCY debt market returns are likely to be carry-driven; we remain constructive on Egypt T-bills and Nigeria bills

African local markets remain broadly supported; returns are likely to be mostly carry-driven, as scope for further yield compression appears limited in several markets. In South Africa, SAGB yields have retraced from July highs, though markets are pricing in the risk of SARB tightening, which may constrain further gains. Meanwhile, Egypt T-bill yields have backed up and look attractive, though FX volatility has increased. Amid capped USD-NGN upside, Nigeria bills still offer compelling carry. In Kenya, KENGB yields have backed up from rich levels ahead of the 12 August auction; fresh KENIB issuance presents an opportunity to enter carry positions. Inflows to Tanzania's LCY bond market post-liberalisation may be modest at best; we turn *Defensive* (from *Neutral*). In Zambia, improved liquidity and potential post-election inflows may support demand at the 21 August bond auction.

Emerging Europe

We are Positive on Czech rates and Neutral on Hungary, Poland, Türkiye

CE3 rates remain sensitive to heightened oil-price volatility; recent selling pressure is partly linked to wide crude product crack spreads in Europe. However, second-order inflation effects remain limited so far (particularly on food CPI), helping to anchor carry positioning. We are *Positive* on Czech rates, given the policy headroom provided by the June hike against external uncertainty; we are *Neutral* on Hungary and Poland due to heightened fiscal event risks. Türkiye rates are vulnerable to energy price surges and upside inflation surprises; we are *Neutral* and prefer FX exposure to extract carry.

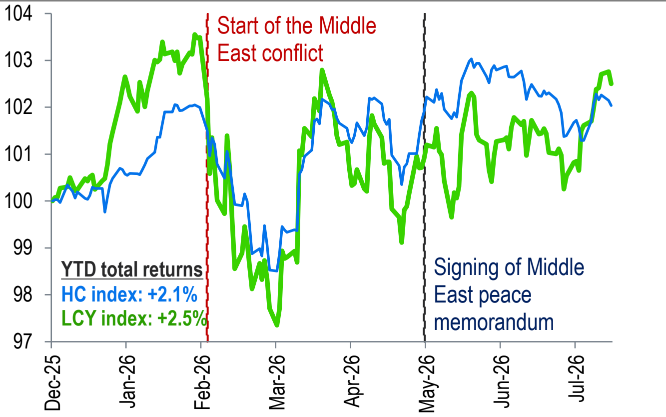
Latam

In Latam, we are Positive on Brazil and Mexico; we move Colombia to Neutral, and stay Neutral on Chile and Peru

The region has continued to outperform EMEA and Asia, with YTD total return close to 14% in USD terms. Colombia has been the top performer in Latam (35%) as FX and rates rallied on the presidential election win for market-friendly candidate de la Espriella. In the rest of the region, low-yielding Chile and Peru have continued to underperform high-yielding Brazil and Mexico. We remain *Positive* on Brazil and are biased to receive rates in the intermediate sector of the DI curve (Jan '29). We also stay *Positive* on duration in Mexico given high real yields, hawkish monetary policy pricing and a steep curve. Following the sharp rally in Colombia, we move our duration stance to *Neutral* (from *Positive*). We remain *Neutral* on Chile given low real yields across the curve, but we are biased to receive 2Y swaps, as we believe the hawkish repricing in the front end of the curve has overshot. Finally, we remain *Neutral* on Peru, as the market is still concerned about supply and El Niño risks.

Figure 4: EM assets registered modest gains since July

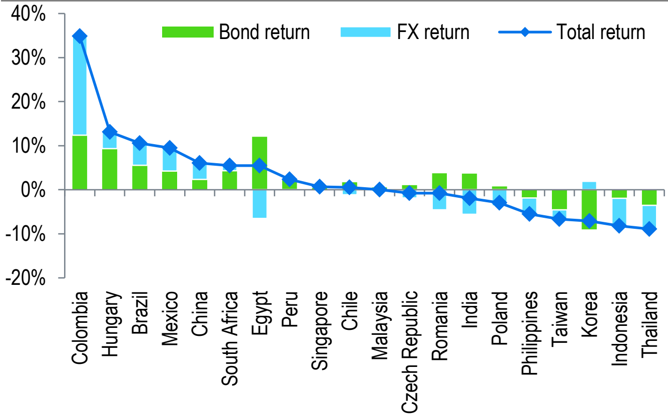
Indices rebased to 100 as of 31 Dec 2025



Source: Bloomberg, Standard Chartered Research

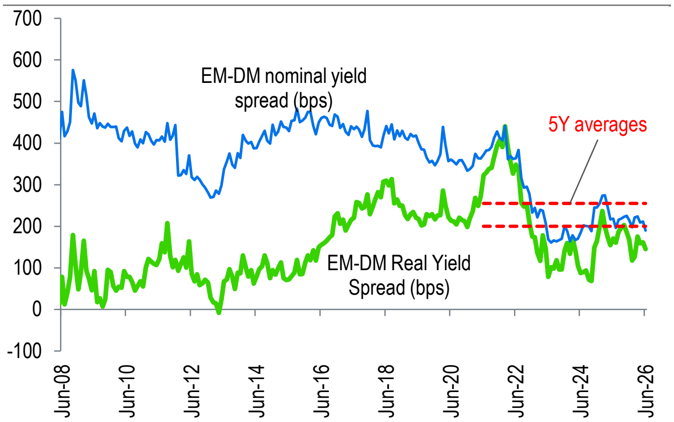
Figure 5: COP, HUF and BRL debt are top performers YTD

YTD total-return breakdown for EM LCY debt, %



Source: Bloomberg, Standard Chartered Research

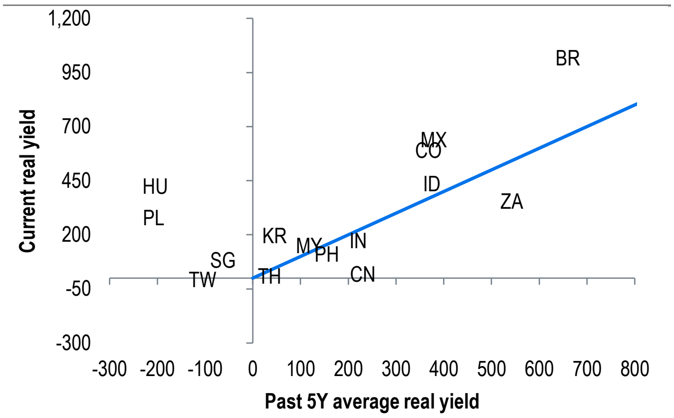
Figure 6: EM-DM nominal yield spreads are still below past 5Y average *(bps)*



Source: Reuters, Bloomberg, Standard Chartered Research

Figure 7: Real yields across EM

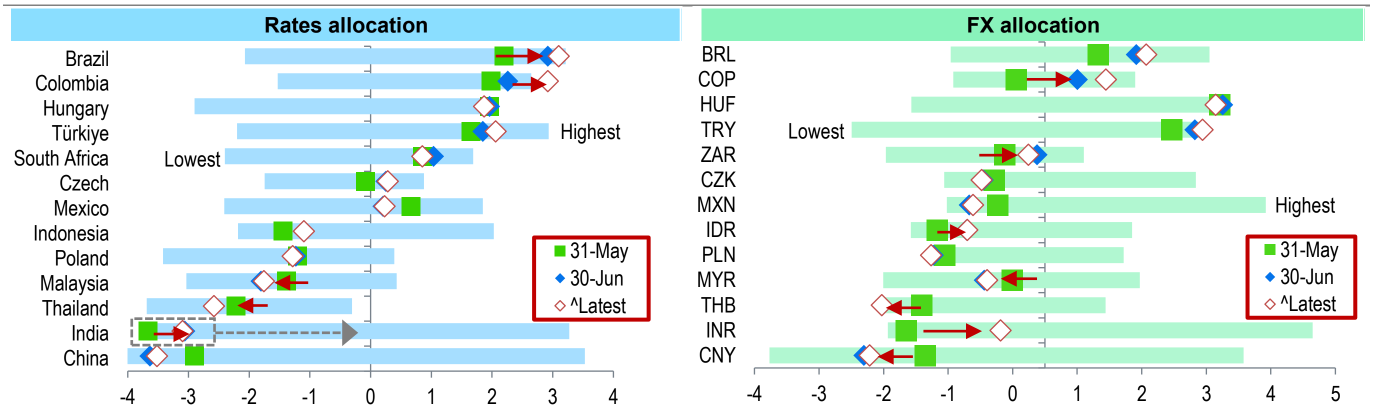
10Y bond yield minus headline CPI inflation, bps



Source: Bloomberg, Standard Chartered Research

Figure 8: Fund managers likely increased exposure to ex-Asia rates at the expense of CNY debt in July

*Average fund allocations vs the benchmark index since August 2013 (China since February 2020)^*



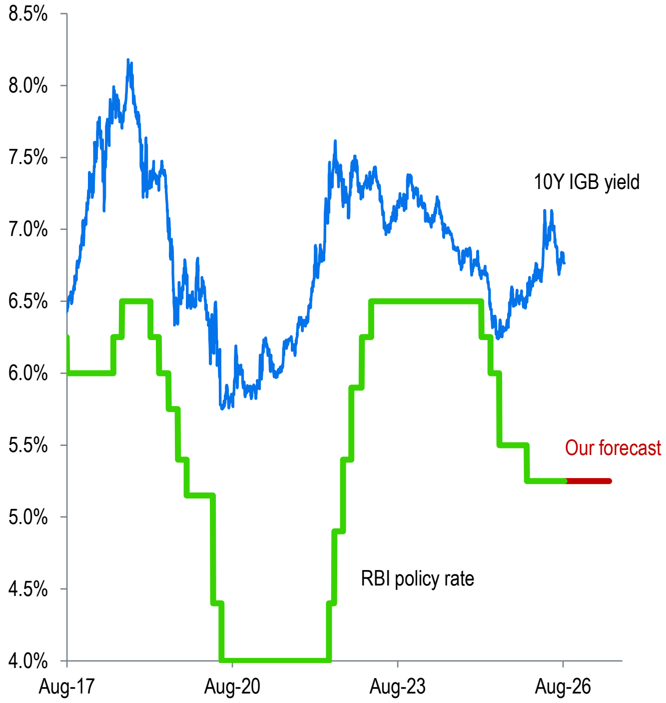
*Positioning of INR debt likely closer to its FX allocation, i.e., slightly underweight vs benchmark, ^Prediction of fund allocations based on our proprietary model; Source: Fund factsheets, Standard Chartered Research

Asia – Local market views

Asia – Local market views

India

Figure 9: IGB yields to remain range-bound in the near term



Source: Bloomberg, Standard Chartered Research

Duration: We remain 3M *Neutral* on IGBs. Stable policy rates and resilient FPI inflows continue to support IGBs. But we see limited scope to turn more constructive, as domestic inflation risks remain tilted to the upside, oil prices are still volatile, and the policy rate easing cycle is likely nearing its trough.

Curve: We expect the curve to steepen.

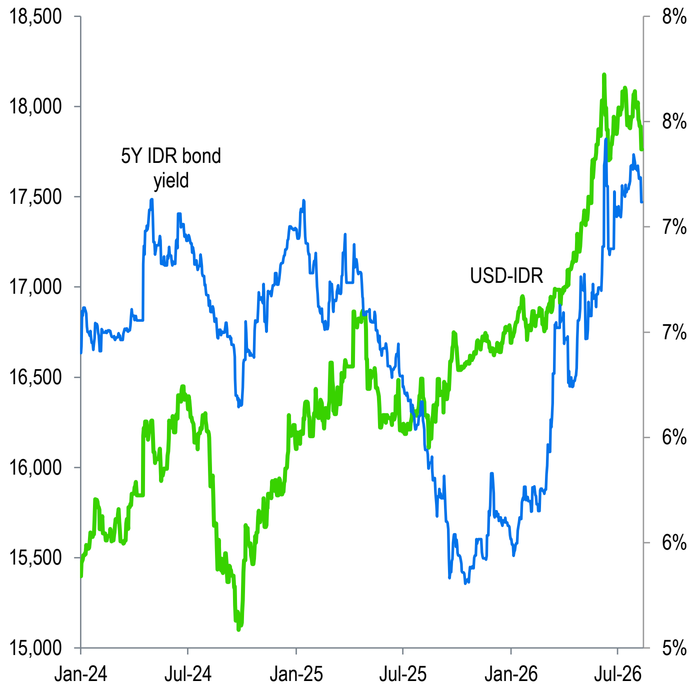
Positioning: We believe both local and foreign investors are neutral on positioning.

FX: *Neutral*; the series of measures announced recently by the RBI should cap USD-INR in the near term.

Comments: Foreign inflows to FAR-designated IGBs since 5 June, when the RBI announced FX-market supportive measures, amount to c.USD 5.02bn. Foreign demand for IGBs has stayed resilient even after IGBs' inclusion in the Bloomberg flagship Global Aggregate Index was deferred.

Indonesia

Figure 10: Risk-reward has improved with the recent rise in IDR bond yields



Source: Bloomberg, Standard Chartered Research

Duration: 3M *Neutral* on IDR bonds. Manageable domestic inflation remains a key positive, but an increasingly hawkish Fed and the likely resulting USD strength may weigh on IDR bonds near-term.

Curve: We expect the curve to steepen.

Positioning: We believe local investors are neutral and foreign investors are light on positioning.

FX: *Neutral.*

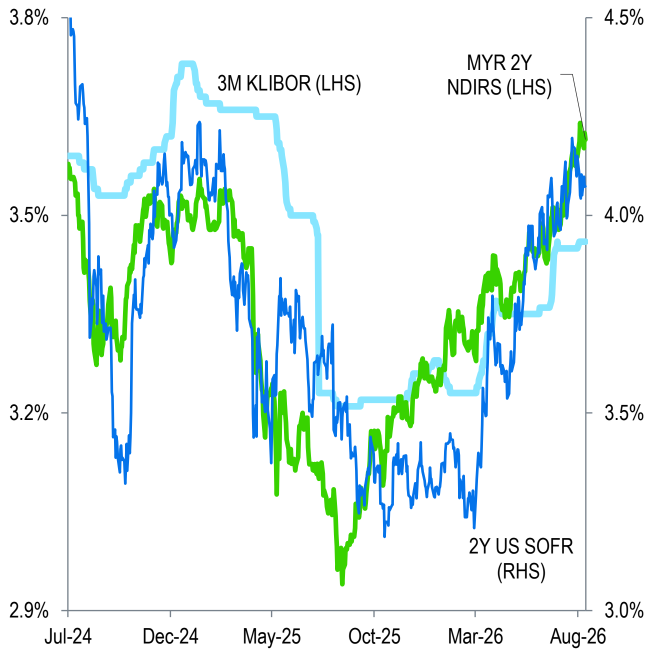
Comments: The latest fund positioning data suggests that investors covered some of their UW in IDR bonds, likely at the expense of THB and CNY bonds (see *SC FIRST – EM LCY debt: Moderating foreign inflows*). We continue to recommend 12M SRBIs, FX-hedged, and would look to secure an attractive spread over 12M SOFR. We prefer to hold the trade to maturity (see *Indonesia rates – A window of opportunity*).

Asia – Local market views

Malaysia

Figure 11: 2Y MYR NDIRS rises to its highest level in three years amid growing external headwinds

MYR 2Y NDIRS and 3M KLIBOR, % (LHS); 2Y US SOFR swap, % (RHS)



Duration: *Neutral.* At its July monetary policy meeting, Bank Negara Malaysia (BNM) kept the OPR unchanged, in line with our expectations, and maintained a neutral policy bias. However, the market is currently pricing in c.20bps of BNM rate hikes over the next 12 months. We expect elevated US yields and rising regional rate-hike expectations to remain key headwinds to MYR rates.

Curve: The MYR NDIRS 2Y/10Y curve remains relatively flat. We see room for the curve to steepen, led by the front end, if 3M term liquidity conditions ease.

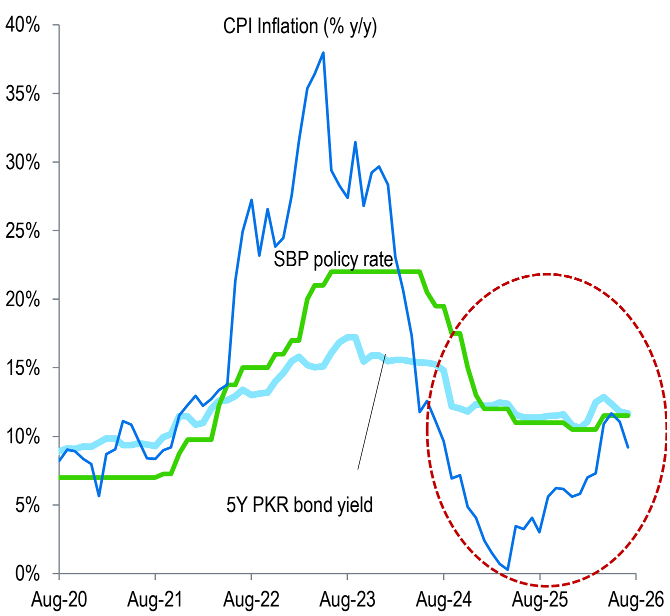
Positioning: Light. In July, MGS recorded foreign outflows of MYR 7.4bn, the largest since March 2020. This coincided with a sizeable MGS maturity of MYR 20.5bn, suggesting scope for reinvestment flows near-term.

FX: We remain constructive on the MYR given supportive macro fundamentals and a robust external position amid continued improvement in the services balance. That said, near-term MYR FX performance could be choppy owing to external headwinds and swings in portfolio flows.

Source: Bloomberg, Standard Chartered Research

Pakistan

Figure 12: PKR bond yields to remain range-bound in the near term



Duration: We remain 3M *Neutral* on PKR bonds. Inflation risks and elevated bond issuance are likely to constrain yield compression in the near term, outweighing positives such as the improved external-sector outlook and IMF-related reforms.

Curve: Likely to trade with a steepening bias.

Positioning: Local investors' positioning is neutral, while foreign investors' is light.

FX: *Neutral*. We expect the PKR to remain on a depreciating path versus the USD.

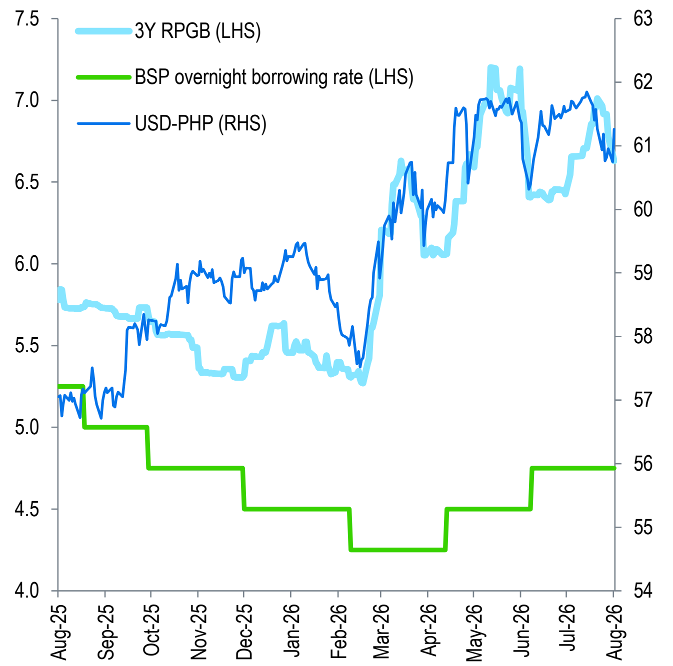
Comments: The latest data (3-31 July) shows that foreign investors net-bought c.PKR 5.8bn (c.USD 20.9mn) of T-bills, and sold c.PKR 29.2bn of PKR equities and c.PKR 4.1bn of Pakistan Investment Bonds.

Source: Bloomberg, Standard Chartered Research

Asia – Local market views

Philippines

Figure 13: 3Y RPGBs yield c.200bps above current BSP policy rate but pressured by PHP weakness *(Rate, %; FX spot)*



Duration: *Neutral*. Headline (6.2%) and core (4.2%) inflation eased in July but remain elevated, with upside risks from El Niño and minimum wage hikes. 3Y RPGBs are anchored by high yields of c.6.75%, c.200bps above the current BSP overnight rate. We expect BSP to hike by 25bps in August and pause thereafter.

Curve: Likely to steepen. The government plans to borrow PHP 2.39tn domestically in 2027, up c.24%. The 2Y/10Y RPGB (c.100bps) curve has been steepening amid a rise in duration supply pressure.

Positioning: Foreign participation in PHP debt has slowed amid geopolitical uncertainty, heightened yield volatility and PHP underperformance. Foreign holdings were at c.4% of total outstanding bonds in Q1 and are unlikely to have risen since.

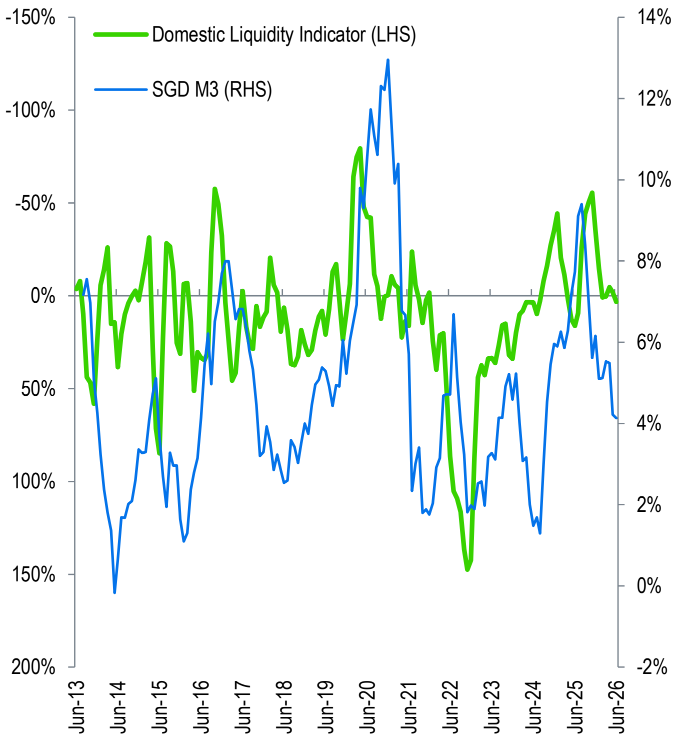
FX: *Neutral.* BoP weakness and elevated oil prices are weighing on the PHP.

Comments: We stay on the sidelines in RPGBs amid supply and PHP weakness; we expect 3Y RPGBs to outperform on the curve.

Source: Bloomberg, Standard Chartered Research

Singapore

Figure 14: DLI tightens towards neutral from easing; M3 money supply drops *(% y/y)*



Duration: *Neutral* (from *Positive*). MAS' domestic liquidity indicator (DLI) has tightened towards neutral (from easing) in recent months. M3 money supply slowed to 4.1% y/y in May from an average c.5% in Q1. SGS duration supply rises seasonally in Q3 and drops in Q4. The government raised its 2026 growth forecast to 4.5-5.5% from 2-4% on robust AI-related demand.

Curve: Steepening. Besides the recent 20Y Green SGS (Infra) syndication, Q3 has 10Y SGS (Market Development) and 15Y SGS (Infra) auctions in 10Y and the long end. There are no SGS maturities in Q3, vs June's large maturities of SGD 11.5bn.

Positioning: Insurers' lower demand for debt amid a preference for higher-yielding assets and the local equity rally should keep the super-long end of the SGS curve steep. Total assets of insurers' local operations rose to SGD 367bn in Q1, but their debt holdings fell to 45% of total assets (48.3% a year earlier).

FX: *Overweight.* SGD NEER is likely to range-trade around 1.5% above the midpoint of the policy band.

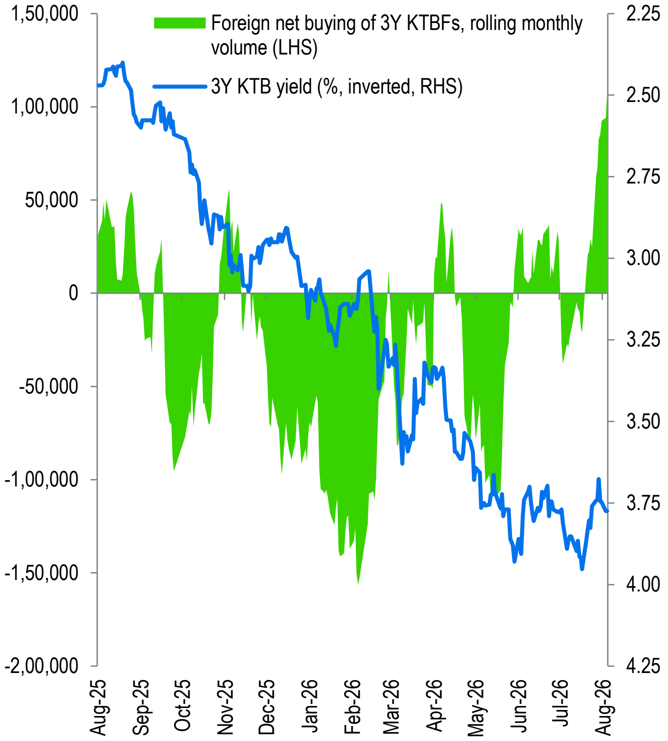
Comments: We expect 5Y SORA rates to rise further in Q3 and the 1Y/5Y SORA curve to steepen. A seasonal rise in bond duration issuance could widen 10Y and long-end SGS/SORA spreads.

*Positive domestic liquidity indicator implies tighter liquidity conditions and vice versa; Source: MAS, CEIC, Standard Chartered Research

Asia – Local market views

South Korea

Figure 15: Foreigners have shifted to buying 3Y KTBFs since July *(Number of contracts; yield, %, inverted)*



Source: Korea Exchange, Bloomberg, Standard Chartered Research

Duration: *Positive.* KRW appreciation and declines in CPI inflation and the KOSPI since the July rate hike should reduce the risk of a successive hike in August. Domestic liquidity pressures are easing, hedge-related paying flows are slowing, and bank deposits and MMFs' AUM are rising.

Curve: Steepening. BoK rate-hike expectations have peaked, but markets are still pricing c.110bps of hikes (c.3.85% terminal rate) by end-2027. Government recycling of AI-driven tax revenue into targeted fiscal support has boosted growth expectations. WGBI inclusion supports foreign purchases, but light local structural demand for duration weighs on the long end.

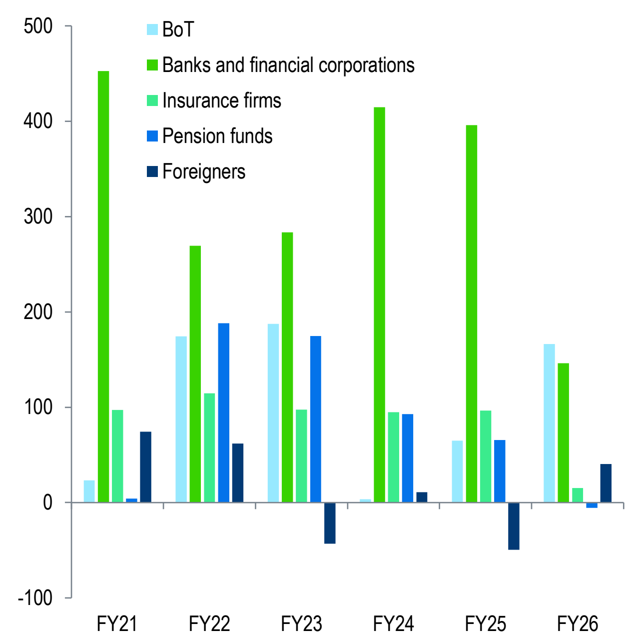
Positioning: Foreigners have net-bought c.140,000 3Y KTBF contracts since the July hike (vs net-selling c.50,000 contracts in the month before the BoK meeting). Foreigners also net-bought KRW 39tn of KTBs in 7M-2026; Korean insurers bought only KRW 13tn and pension funds net-sold KRW 3tn.

FX: *Neutral.* The KRW has outperformed Asian peers recently, likely supported by corporate USD selling.

Comments: We prefer receiving Korea 1Y-2Y IRS (c.25-18bps quarterly carry). We also prefer buying 5Y-10Y KTBs (c.1% annual FX-hedged yield pick-up); our models show a fair-value yield of c.3.75-3.95% for 10Y KTBs.

Thailand

Figure 16: Local banks, financial corporations, BoT bought most of the net issuance; structural demand weakens
Net loan bonds purchased by market participants in first three quarters of FY26 (THB bn)



Source: BoT, Standard Chartered Research

Duration: *Neutral.* 10Y THB yields are range-bound at c.2%. The BoT's prolonged hold, ample domestic liquidity and auction demand from local banks are offset by geopolitical uncertainty and weaker local structural buying.

Curve: Stable. Markets have unwound rate-hike expectations and are largely pricing in a hold this year. Bid-to-cover ratios at loan bond auctions have recovered in Q3 and remain stable.

Positioning: Local banks, financial corporations and BoT bought c.80% of net loan-bond issuance in the first three quarters of FY26 (ending September). Local insurers bought c.4%, while pension funds bought none. Foreigners bought c.11% of net issuance and are c.2.5% UW versus the benchmark index.

FX: *Neutral.* The THB has benefited from the drop in the broad USD index and the gold rally, and has been consolidating at around 33 against the USD.

Comments: We prefer receiving 5Y THOR and buying 5Y loan bonds. FX hedging provides a c.2% annual yield pick-up for foreign investors.

Africa – Local market views

Africa – Local market views

Egypt

Figure 17: Rates and inflation *(%)*

Source: Bloomberg, Standard Chartered Research

Duration: *Neutral.* T-bill auction demand remains strong, and most 3M-9M sales have been overallocated in recent weeks, with yields rising before stabilising more recently (9 August: 9M WAY: 25.91%, -13bps w/w). The CBE has underallocated 12M auctions to cap yield upside (6 August: 25.06% WAY). Inflows in August have helped to stabilise rates after early-July portfolio outflows likely drove yields higher. The NDF/T-bill yield basis may still be too narrow for ASW trades (net of the 15% tax on UK/US investors). Bond auction yields have been relatively stable; the 10 August 3Y sale was only 2.7% overallocated (EGP 15.0bn on offer); yields dropped 5bps w/w to 23.35%. Bond issuance and liquidity are still constrained, limiting the case for duration and making curve extension more difficult.

Curve: The curve is likely to remain inverted.

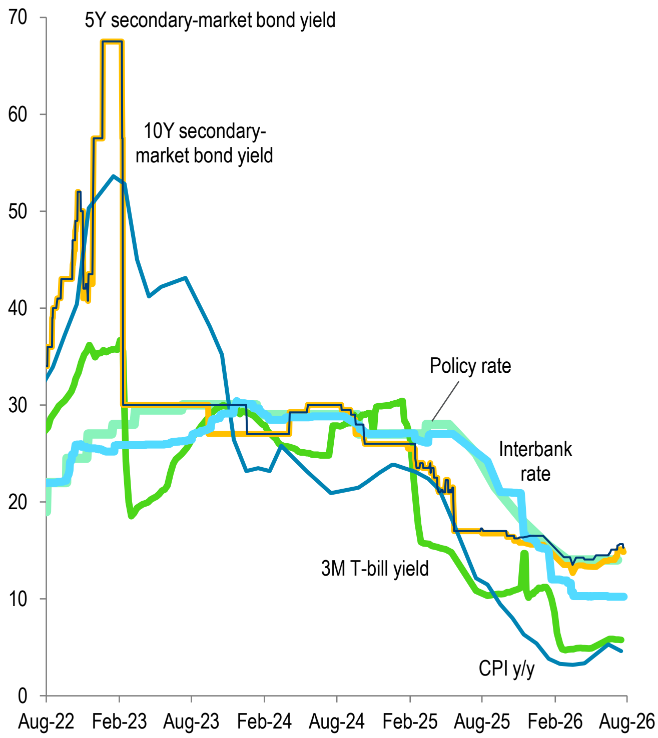
Positioning: We estimate foreign investors hold c.USD 20.5bn of T-bills, after net inflows in August (likely USD 1.5bn MTD).

FX: *Neutral*. USD-EGP (49.93/50.03) volatility has risen, tracking risk-on/-off cycles related to the Iran conflict. Still, external buffers have improved; banking-system NFA grew to c.USD 28.0bn in June (commercial banks: USD 11.0bn); CBE FX reserves were USD 56.3bn in July (end-2025: USD 51.4bn).

Comments: Greater FX volatility may increase the risk of FX stop-losses being hit when market conditions deteriorate.

Ghana

Figure 18: Rates and inflation *(%)*



Source: BoG, Bloomberg, Standard Chartered Research

Duration: *Neutral.* New bond issuance is still pending after the April debut 7Y sale (at 12.50%). Secondary-market yields have drifted higher (5Y: 14.75%; 7Y: 15.00%; 10Y: 15.50%), reflecting capital injections to state-owned banks, potential off-market taps, and portfolio rebalancing; they have retraced moderately in recent days on portfolio inflows. Ample liquidity should continue to support demand for T-bills and 3M-6M yields (3M: -11bps to 5.63%; 6M: -13bps to 7.53% on 7 August) highlight supportive liquidity conditions. Still, a sustained rally may be constrained by higher funding needs, uncertainty over future issuance and the liquidity impact of the BoG's exit from GoldBod financing.

Positioning: Foreign holdings were c.USD 1.3bn in May (3.3% of the total); inflows remain constrained by FX market friction.

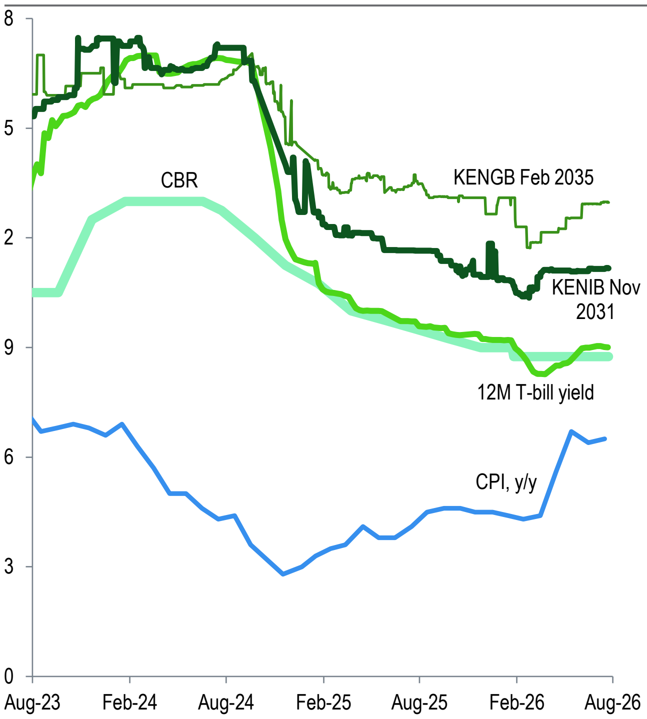
FX: *Neutral.* USD-GHS (11.30) has retraced sharply from c.11.75 in early August as improved liquidity and weak demand at the last BoG FX auction narrowed recent FX imbalances. Still, softer gold prices and fuel-related FX demand pose risks.

Comments: Focus is turning to whether GoldBod FX sales can meaningfully complement BoG supply. Cocobod's planned August issuance should be absorbed given excess liquidity (market guidance points to an initial tranche of up to GHS 14bn in 270-day cocoa bills).

Africa – Local market views

Kenya

Figure 19: Rates and inflation *(%)*



Source: CBK, Bloomberg, Standard Chartered Research

Duration: *Neutral* from *Defensive*. KENGB auction yields have moderated from recent highs (39: 13.92% WAY; 47: 14.44%), supported by an initial dip in inflation and a downward revision of LCY borrowing needs for FY27. The 12 August KES 150bn KENIB auction of the Oct-35 (WAY: 12.19%), Mar-39 (12.68%) and Aug-42 (13.05%) attracted KES 460.4bn of bids, with KES 312.0bn accepted. There was strong domestic demand amid the August maturities and ample liquidity, and robust foreign demand. July inflation was broadly stable at 6.5%, while the extension of the reduced 8% VAT on fuel until October and the MPC holding the CBR at 8.75% may allow the CBK to look through the recent oil price rise for now.

Curve: The KENGB curve remains steep as issuance is skewed to longer tenors, though recent yield retracement has flattened it somewhat. KENIB rates could ease after rising ahead of the 12 August auction.

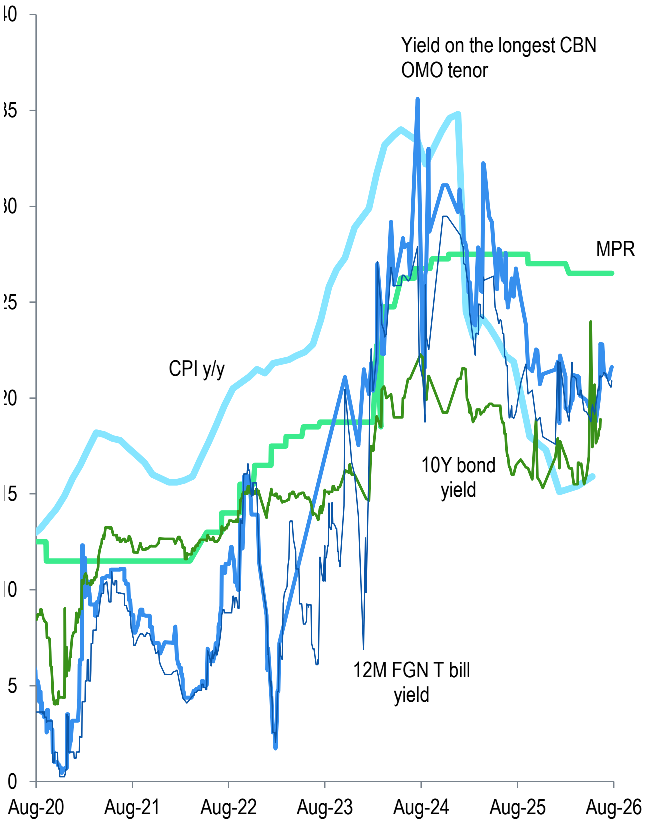
Positioning: The August KES 150bn KENIB sale saw robust domestic demand and decent foreign demand.

FX: *Neutral*. Strong reserves should support KES stability, though softer remittances and a wider C/A deficit remain risks.

Comments: KENIB valuations look rich, but some foreign investors may seek to accrue moderate carry amid FX stability.

Nigeria

Figure 20: Rates and inflation *(%)*



Source: CBN, Bloomberg, Standard Chartered Research

Duration: *Neutral*. OMO bill yields remain attractive (19 Jan-27: 19.97% in secondary market), despite a compression after CBN opened the OMO bill market to local non-bank investors. FGN T-bill yields rose at the 12 Aug auction (3M: 16.99%; 6M: 17.94%; 12M: 20.31%), although shorter tenors remain below OMO levels. Focus now shifts to whether domestic non-banks increase OMO participation and whether FGN T-bill yields back up further. Policy changes should give CBN greater influence over market rates, but CBN is unlikely to welcome a sharp yield decline that could trigger portfolio outflows. CBN lifted the suspension on repos with tenors of up to 90 days, potentially providing another liquidity mop-up tool and, subject to clarification, scope to accept bank placements above OMO rates. Bond yields retraced but bounced on the news. Further cheapening (38: 17.80/17.55%) could offer entry points to add ahead of an expected sustained post-election duration trade.

Curve: OMO-T-bill yield spreads should narrow as T-bill rates catch up. Bond yields could retest 18%.

Positioning: Foreign holdings remain concentrated in OMOs (c.USD 18bn market value).

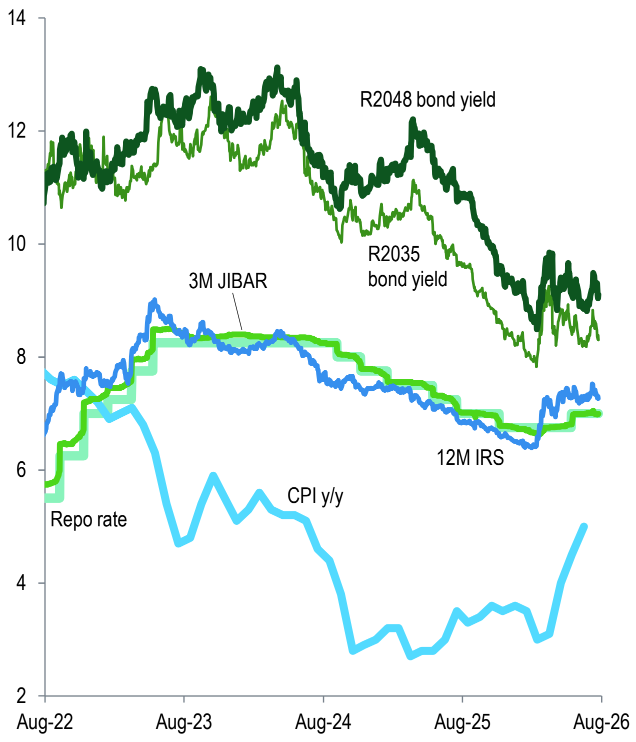
FX: *Neutral*. USD-NGN (c.1360-1362) has remained broadly stable, supported by portfolio inflows; the CBN could intervene if imbalances increase, supported by stronger reserves.

Comments: An NNPC oil-backed pre-export financing facility should improve FCY financing conditions.

Africa – Local market views

South Africa

Figure 21: Rates and inflation *(%)*



Source: SARB, Bloomberg, Standard Chartered Research

Duration: *Neutral*. Bond yields (R2036: 8.34%; R2048: 8.85%) have continued to retrace from the July highs as risk conditions improve and markets pare expectations of further SARB hikes after the July hold. That said, returns are increasingly carry-driven; we see limited scope for yields to revisit the pre-conflict lows given tight SAGB/UST spreads and lingering inflation risks. The rates market is still pricing in c.65bps of tightening 12 months out (repo: 7.0%). While inflation rose to 5.0% in June, the SARB signalled greater confidence in the disinflation path, supporting our view that rates will remain broadly on hold in H2.

Curve: Still-elevated core rates and a SARB tightening risk premium may limit further front-end compression, while attractive real yields and resilient auction demand should continue to anchor the longer end.

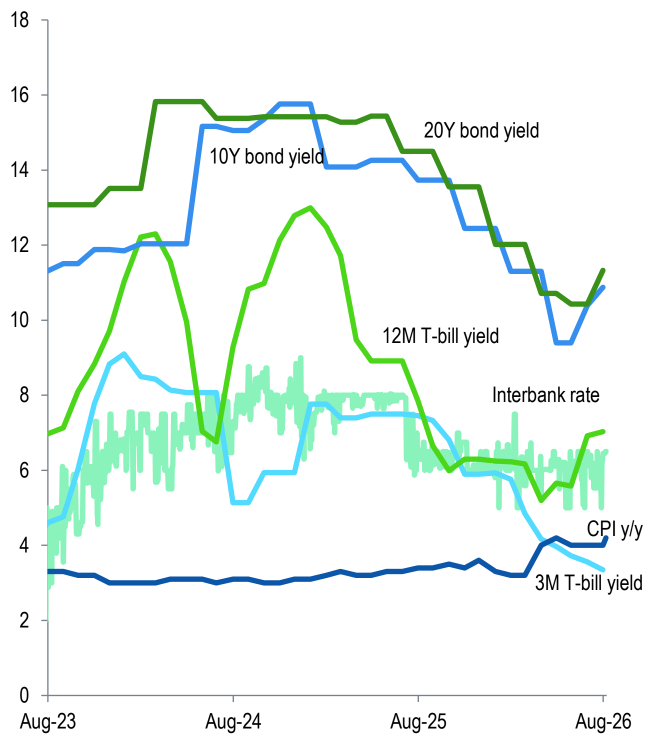
Positioning: SABONET data shows that flows remained modestly positive in July (USD 310mn), with inflows resuming as risk conditions improved.

FX: *Neutral*. USD-ZAR (16.21) has been resilient. Lower oil prices should support South Africa's external position, although weaker gold and PGM prices pose risks to export receipts.

Comments: Focus remains on the MTBPS, inflation data and oil prices. We continue to favour belly exposure, with renewed bond cheapening presenting tactical buying opportunities.

Tanzania

Figure 22: Rates and inflation *(%)*



Source: BoT, Bloomberg, Standard Chartered Research

Duration: *Defensive* (from *Neutral)*. The 5 August 25Y bond sale saw strong demand (TZS 1.25tn bid), reflecting still-robust local demand for duration, supported by adequate domestic liquidity. The BoT sold the amount on offer (TZS 289.9bn for the competitive part, TZS 124.2bn for the non-competitive part); the WAY fell 41bps to 11.47% from the 24 June sale. In contrast, the 22 July 10Y sale also matched the amount on offer but the WAY rose 48bps to 10.87% (10 June: 10.39%). We expect the BoT to hold the CBR at 6.25% through end-2026 after it signalled a more hawkish stance and hiked by 50bps at the 2 July MPC. Inflation (July headline: 4.2% y/y) is still in the 3-5% target range.

Curve: We see a risk that the bond curve could bear-flatten.

Positioning: Non-resident investor participation is low but may rise with the removal of the six-month minimum holding period.

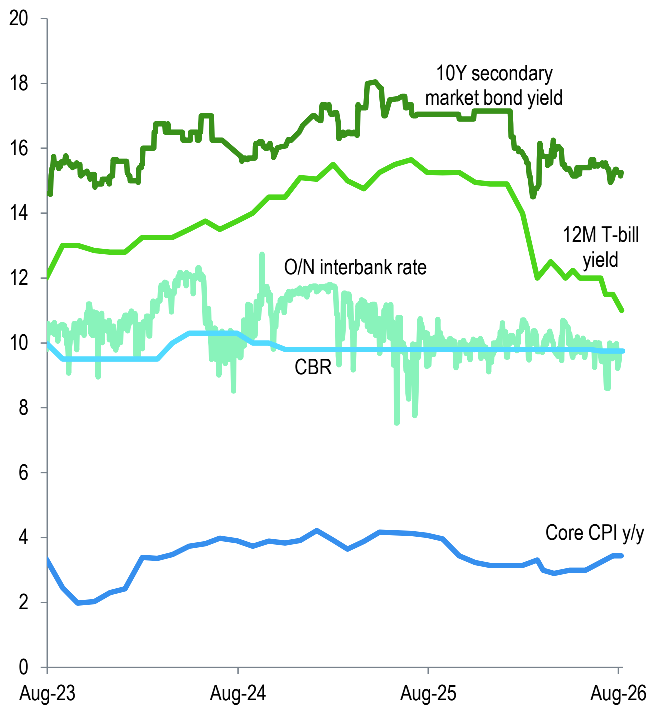
FX: *Neutral*. Spot (2,650/53) has stabilised after drifting higher on FX demand. The C/A deficit widened to USD 2.30bn in FY26 (FY25: USD 2.15bn). FX reserves rose to USD 5.67bn in June (4.4 months of imports; end-2025: USD 6.32bn, 4.9 months).

Comments: The bond market was opened to global investors on 6 August (previously only EAC/SADC investors). Portfolio inflows may be limited given modest yields, limited secondary-market liquidity, and higher FX convertibility risk versus regional peers. A potential Eurobond issuance now looks more likely.

Africa – Local market views

Uganda

Figure 23: Rates and inflation *(%)*



Source: BoU, Bloomberg, Standard Chartered Research

Duration: *Neutral.* Heavy supply in early FY27 has been well absorbed; the 12 August bond auction saw strong demand (UGX 2.2tn bid vs UGX 990bn on offer, UGX 1.1tn sold), reflecting ample liquidity, decent maturities in August, and periodic offshore interest. The BoU continues to manage tenor-specific allocations to cap long-end rates; it underallocated the 20Y (cutoff: 15.65%; 15 Jul: 15.95%) and overallocated the 3Y (cutoff: 12.00%, -40bps) and 10Y tenors (15.00%, -45bps). The IMF Article IV report noted that revenue gains in the FY27 budget are from administrative reforms; an implementation plan is awaited. Thus, upside risks to the UGX 11.97tn net LCY borrowing target in FY27 could limit further bond gains, despite decent tax-adjusted carry (UGANGB 37: 15.25/14.75%; UGANGB 43: 15.85/15.35%; 10% WHT from 10Y). The BoU may hike the CBR 25bps to 10% by November, as it expects inflation to rise near-term (core: 3.4% in July; headline: 4.0%).

Curve: Yields may face upward pressure later in FY27 given supply risks, but supply has been well absorbed so far.

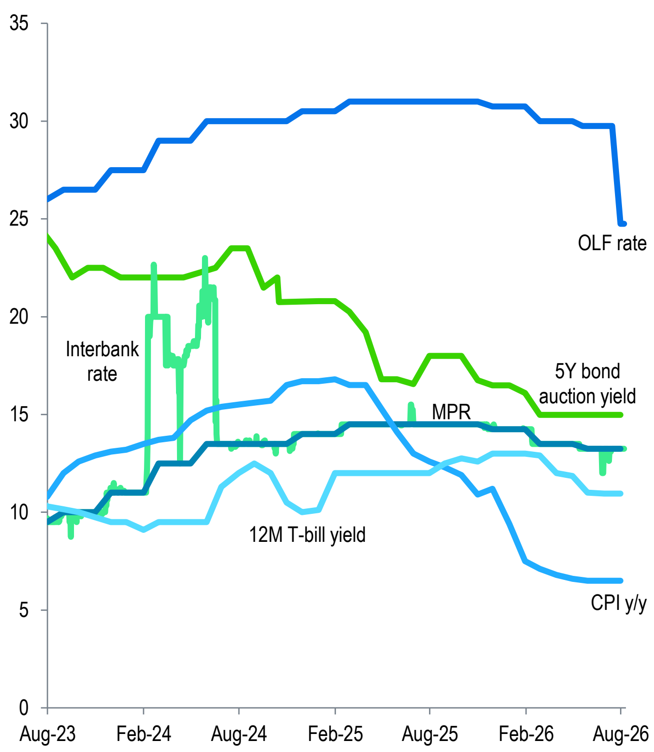
Positioning: Foreigners hold c.USD 2.7bn of bonds.

FX: *Neutral*. USD-UGX (3,720/30) is volatile, driven by flows and risk sentiment. The trade deficit widened to USD 598mn in June, with imports up USD 407mn m/m (driven by petroleum and mineral imports). The BoU may buy USD to build reserves (June: USD 6.7bn) when UGX firms.

Comments: The BoU will issue new benchmark bonds from September (except the July 50); this may affect the liquidity of current benchmarked securities such as the 35, 39, and 43.

Zambia

Figure 24: Rates and inflation *(%)*



Source: BoZ, Bloomberg, Standard Chartered Research

Duration: *Neutral*. Demand at the 21 August bond auction may be supported by decent liquidity following the 500bps SRR cut, and by large maturities. Also, foreign demand could pick up as political uncertainty eases after the 13 August election (assuming decent risk conditions). This may support a dip in auction yields from May levels (7Y: 15.80%; 10Y: 16.50%); secondary-market yields have eased since the SRR cut (33: 15.80/14.80%; 36: 16.50/15.50%). BoZ may be able to under-allocate auctions to cap rates, as it is likely ahead of schedule on its borrowing target, but levels now look rich after rallying until early 2026. BoZ may cut the MPR (13.25%) by 50bps at the 30 Sep MPC meeting, given stable inflation in the 6-8% target range (Jul: 6.5% y/y). Modest bond liquidity limits the risk of broad-based outflows; maturity repatriation may still be a risk.

Curve: The curve may flatten at the bond auction given robust liquidity, large maturities, and possible post-election net inflows.

Positioning: Foreigners held USD 4.08bn of bonds at face value in Q1; holdings are highly concentrated in large accounts.

FX: *Neutral*. Spot (18.67/72; near offshore levels) has retraced, likely on mining-related USD supply and fading demand above the 19 level. A trade surplus (H1-2026: ZMW 26.1bn; H1-2025: ZMW -4.6bn) and likely C/A surplus may support the ZMW. FX reserves look robust (gross: USD 6.38bn in April), even considering a likely decline to fund the Eurobond buyback.

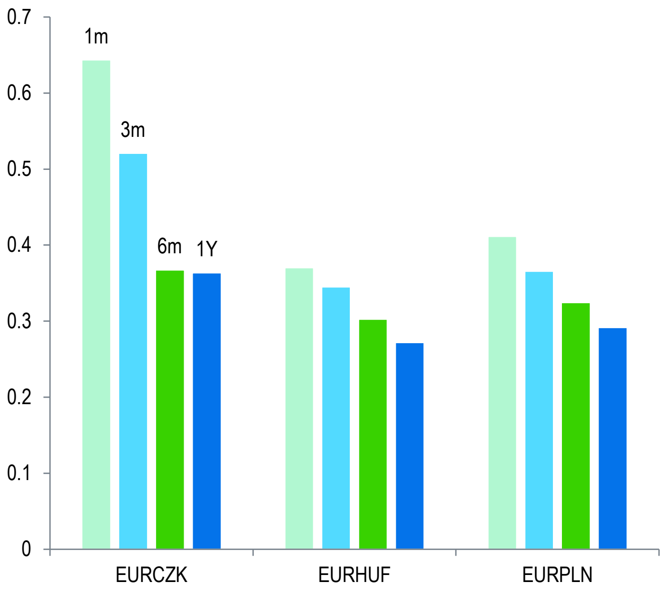
Comments: Progress on bond benchmarking has yet to materialise. Authorities plan to issue a 20Y bond in the medium term to extend the curve.

Emerging Europe – Local market views

Emerging Europe – Local market views

Czech Republic

Figure 25: Low FX vol keeps carry valuations high, providing policy breathing room and reducing the need to hike
Implied carry to vol



Source: Bloomberg, Standard Chartered Research

Duration: *Positive*. Despite the CNB's optimistic GDP assumptions, we think the median MPC voter is leaning towards at most one 25bps rate hike, rather than two implied by markets.

Curve: Could remain relatively shallow amid steady budget execution; the government recently lowered its primary issuance target by CZK 130bn.

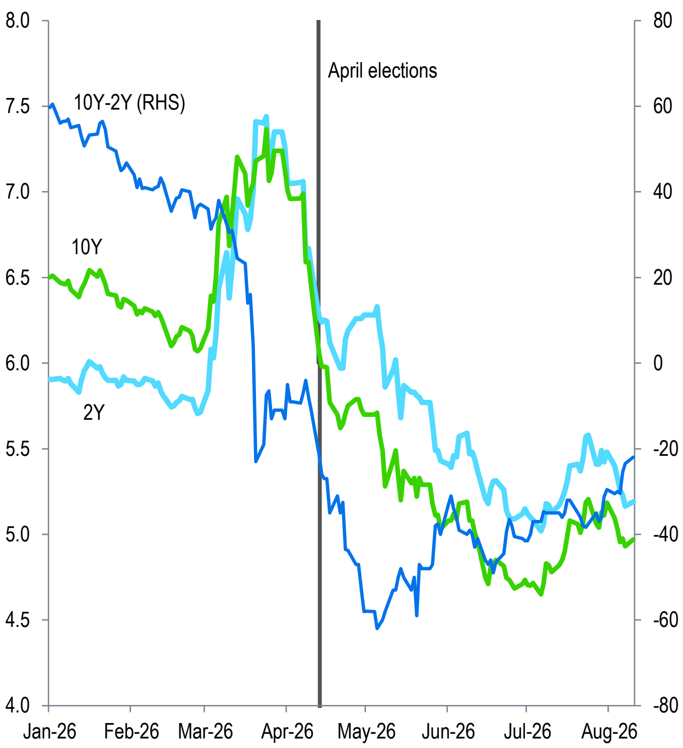
Positioning: Likely to remain stable, despite dovish policy rates relative to market pricing (our baseline view), as low FX volatility buoys carry valuations.

FX: Large EU fund inflows may cushion against potential CZK losses if data confirms a benign inflation outlook.

Comments: MPC member Kubelkova recently emphasised that domestic drivers outweigh external developments (e.g. ECB decisions) in monetary policy decisions.

Hungary

Figure 26: The swap curve has become less inverted; this trend may continue given looming budget risks
%, bps (RHS)



Source: Bloomberg, Standard Chartered Research

Duration: *Neutral*. We are less dovish than markets on the August policy meeting (we expect a 25bps cut, while 1x4 FRAs predict a 30-40% chance of a 50bps cut despite acute energy price risks), but we still expect further easing by year-end.

Curve: Swap curve disinversion has increased recently; the long end may continue to underperform ahead of budget announcements (expected end-August), as fiscal risks undermine medium-term euro adoption hopes.

Positioning: Foreign participation in bonds remains heavy (32.9% of the outstanding stock, up 1ppt m/m in June) and highly sensitive to geopolitical developments.

FX: EUR-HUF has increased slightly above NBH Governor Varga's desired 355-360 range amid energy supply risks; potential fresh hawkish signalling could offset further gains.

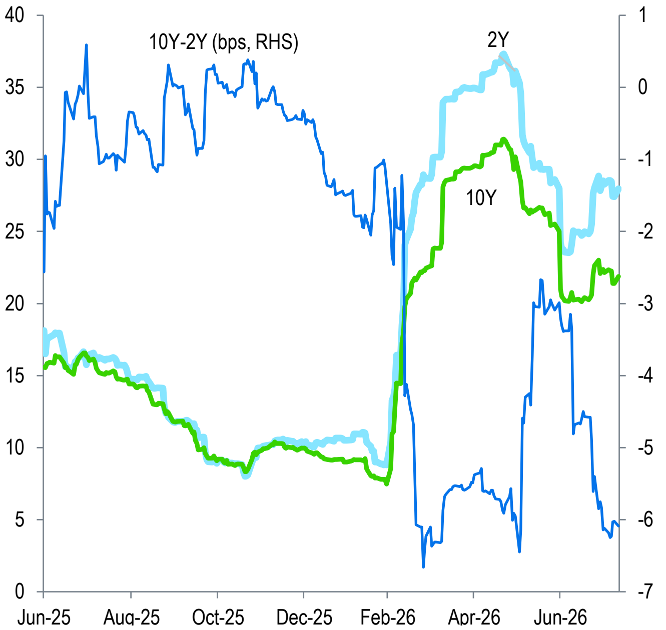
Comments: Budget performance has improved materially since the Tisza government took office in early May, but renewed slippage is likely later this year given energy crisis mitigation measures and VAT rate cuts on consumer goods.

Emerging Europe – Local market views

Poland

Figure 27: Outsized volatility in front-end rates (despite high fiscal uncertainty) reflects unstable forward guidance

60-day historical vol of cash swaps at different tenors



Source: Bloomberg, Standard Chartered Research

Duration: *Neutral*. High uncertainty on 2027 budget plans (due in late August) offsets potential further positive external developments.

Curve: The swap curve may stay relatively steep amid heightened fiscal risks. Although our policy rate expectation is currently more dovish than FRA pricing, unstable forward guidance could keep front-end rates volatile.

Positioning: PLN bonds saw large m/m outflows via European (ex-euro-area) investors in June – c.3% of total foreign holdings, unwinding two months of inflows. But concerns about portfolio rotation to Hungary remain limited; foreign participation, while subdued, remains in line with trend levels.

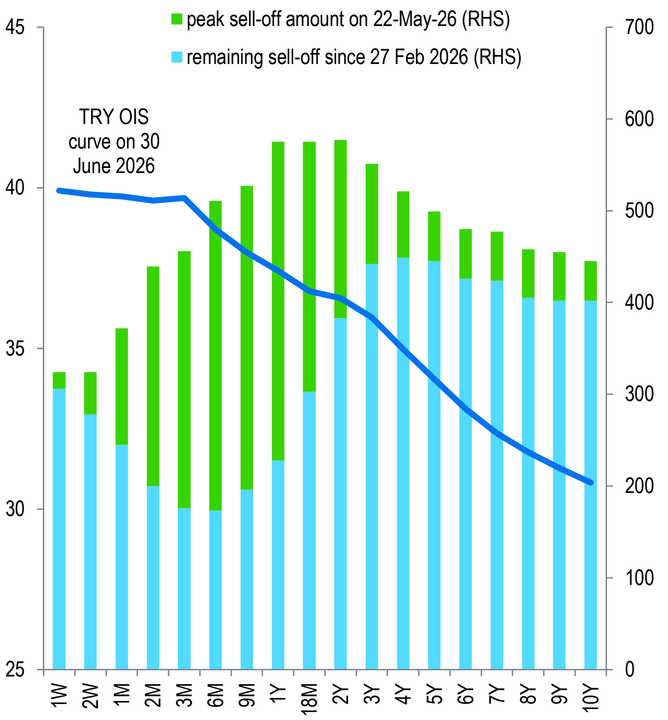
FX: CZK-PLN longs have partly unwound since the CNB's 6 August meeting, but they remain popular with foreign investors.

Comments: Fitch is scheduled to review Poland's rating on 21 August; we expect a slightly more pessimistic tone on deficit performance given the fiscal costs of energy-market intervention since the previous review (27 February).

Türkiye

Figure 28: Local rates continue to track oil price moves; market is pricing in too many cuts too soon, in our view

TRY OIS curve (%) and changes per tenor (bps, RHS)



Source: Bloomberg, Standard Chartered Research

Duration: *Neutral*. Türkiye rates have tracked the recent sharp moves in oil prices, peaking at end-July and falling 70bps since then (1Y). OIS swaps have declined sharply from the YTD peak in late May but are still between 220bps (1Y) and 450bps (5Y) above end-February levels. We stay *Neutral*, as rates could still see upside pressure from high inflation releases in the next few months, especially if oil prices surge again.

Curve: The curve remains steeply inverted, with about 630bps of monetary easing priced in over the next 12 months; this includes c.460bps in the next three months. We think this is too dovish, as we expect CBRT to cut by only 200bps in Q4.

Positioning: Foreign ownership of local government bonds has increased to c.7.5% most recently from 5.9% in early June but remains significantly below the February levels (c.10%).

FX: We remain *Overweight* TRY. Nominal appreciation against the USD remains steady, and reserves have stabilised. With inflation remaining high, we see little room to deviate from the current FX framework.

Comments: We believe policy makers will try to keep the carry trade attractive in the medium term, and that they are willing to use existing buffers.

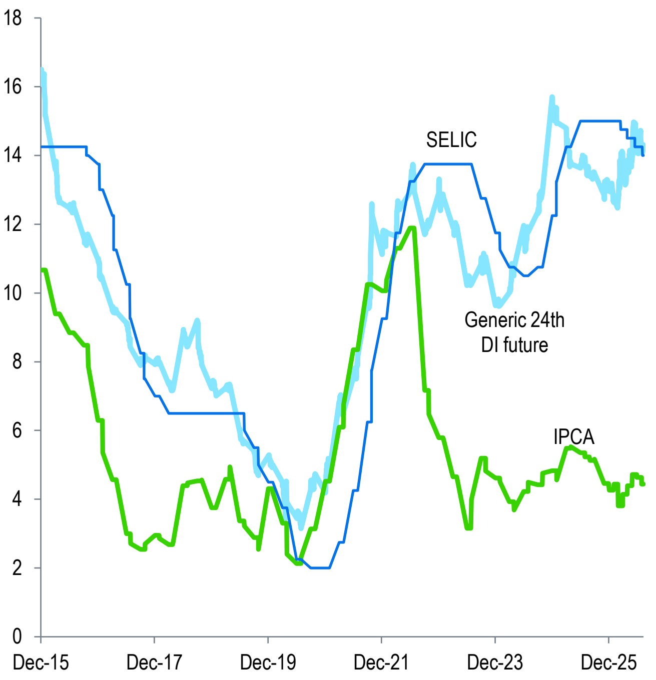
Latam – Local market views

Latam – Local market views

Brazil

Figure 29: We remain biased to receive DI rates; market-implied monetary policy moves are too hawkish, in our view

DI, SELIC rates (%), inflation (% y/y)



Source: Bloomberg, Standard Chartered Research

Duration: We are *Positive* on Brazil rates, which we consider excessively high. The Jan '29 DI has rallied c.85bps since mid-June but remains about 160bps higher than at the start of the Iran war. We remain biased to receive rates.

Curve: The curve currently implies less than one more 25bps cut in this cycle, followed by a prolonged hold, with the policy rate not falling below 13.75% in 2026 or 2027. While we expect the central bank to stay on hold until after the October elections, we still forecast Selic rate cuts to 11.75% by end-2027.

Positioning: Foreign positioning in Brazil is quite light, at c.10%. GBI-EM investors have continued to increase their Brazil exposure in recent months, and it remains one of the larger OWs in the index.

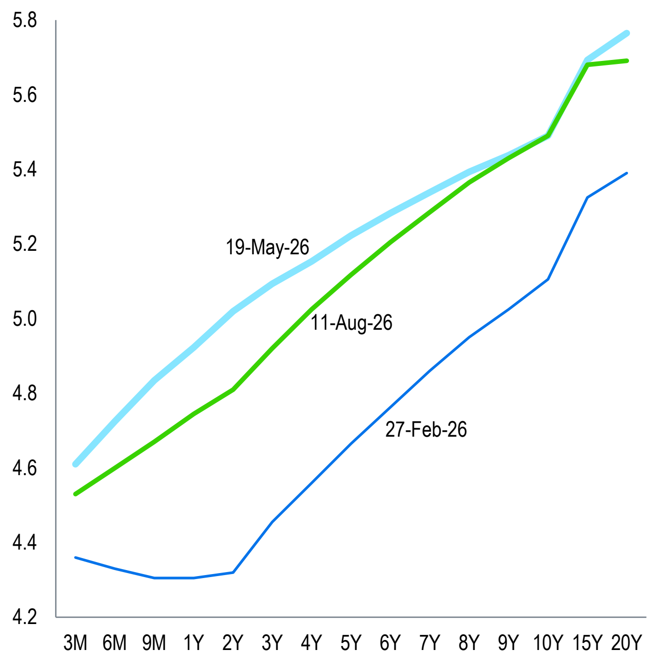
FX: *Overweight.* Carry remains attractive, but equity and seasonal export inflows have stalled, leaving the currency more vulnerable to volatility from political noise and pullbacks in broader risk sentiment.

Comments: The elections are coming into view; President Lula's lead over Flavio Bolsonaro in second-round polls remains in the mid-single digits, and the Banco Master scandal continues to weigh on the Bolsonaro campaign.

Chile

Figure 30: We see little value despite the recent move higher; we remain *Neutral*

CLP Camara swap curve, %



Source: Bloomberg, Standard Chartered Research

Duration: Local rates (2Y-5Y) have sold off c.50bps since early July due to the repricing of monetary policy expectations and in response to higher 10Y US rates. We think the front end of the curve has overshot, but we remain *Neutral*, do not see enough value in the curve to shift to *Positive* at this point.

Curve: Despite recent relief on headline inflation from fuel prices, underlying core inflation pressures remain broad-based. As a result, the implied monetary policy path has reversed, with the curve now pricing in 25bps of hikes in the next six months, compared with c.10bps of cuts in early July.

Positioning: Foreign positioning in Chile's local bonds is around 15.6%, the highest since 2020.

FX: *Neutral.* We see value in CLP but acknowledge that a catalyst (either stronger domestic growth or lower oil prices) is needed to flip positioning from net short.

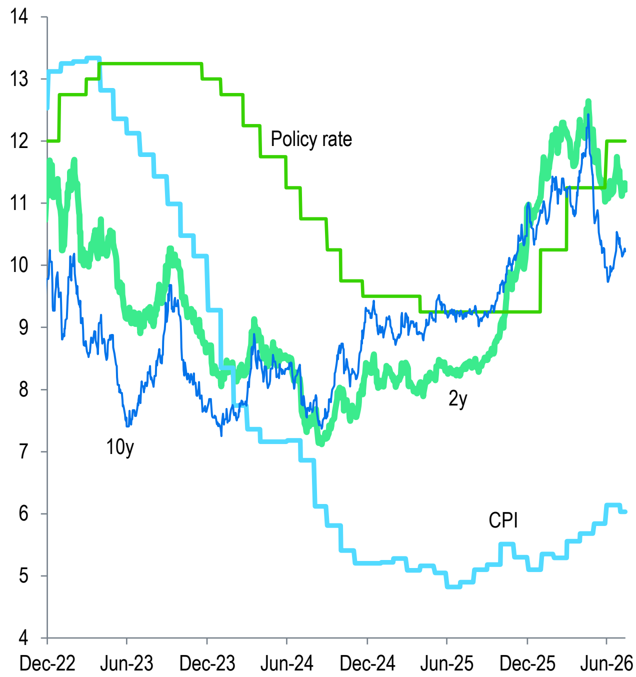
Comments: President Kast's approval rating has fallen sharply since he took office in March. Market concerns about the administration's ability to achieve its target of a structural fiscal balance by 2030 without significant near-term spending cuts remain high.

Latam – Local market views

Colombia

Figure 31: We move to *Neutral* from *Positive;* further risk premium reduction will require more time, in our view

Monetary policy rate, y/y CPI, and IBR swap rates (%)



Duration: We move Colombia duration to *Neutral* from *Positive*. Rates have risen again since early July (45bps in the 5Y), after falling more than 250bps since mid-May, a move that was accelerated by de la Espriella's presidential election win. While we see room for the risk premium stemming from the Q4-2025 repricing to compress further, we think this will take more time to play out given fiscal challenges and execution risks.

Curve: Implied policy rate hikes have been scaled back since May; the curve is now pricing in c.55bps of hikes in the next six months, in line with our forecast.

Positioning: Foreign positioning in local bonds (c.19%) is in the middle of the historical range. Colombia remains one of the largest OWs in EM among GBI-EM investors.

FX: *Overweight*. COP has benefited from optimism about the transition to a more market-friendly administration. Hawkish monetary policy and high nominal yields should keep positioning bullish as long as the market environment is pro-carry.

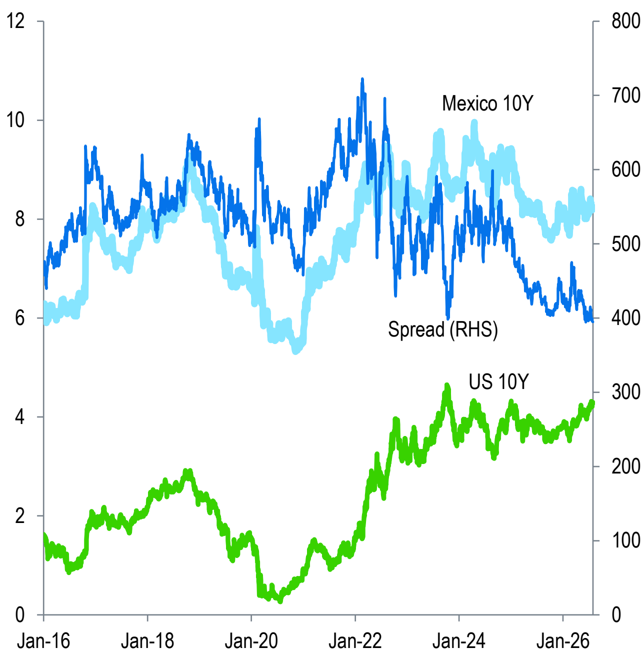
Comments: The de la Espriella administration is expected to shift towards more market-friendly policies, fiscal consolidation and potential re-alignment with the US, but a highly fragmented congress is a key challenge to its agenda.

Source: Bloomberg, Standard Chartered Research

Mexico

Figure 32: We remain *Positive* on Mexico duration

10Y yields, % (LHS); spread, bps (RHS)



Duration: We remain *Positive* on rates in Mexico, which have increased by c. 25bps (10Y) since late June, in line with the move in US rates. We see value in receiving Mexico rates, which are 35-60bps above pre-war levels in the 2Y and beyond. Mexico has one of the steepest curves in EM (c.115bps for 2Y/10Y TIIE); this reflects light positioning.

Curve: Banxico has been on a prolonged pause since the May meeting. With core inflation still close to the upper end of the target, there is little room for easing at this point; the market is pricing in about 60bps of tightening over the next 12 months.

Positioning: Foreign positioning in Mbonos (c.26%) is still down sharply from 57% at the beginning of 2020. GBI-EM investor positioning is a small OW.

FX: *Neutral.* We see MXN as a range trade driven by risk sentiment and swings in the broad USD. High real rates are supportive, and long MXN remains an attractive carry trade given relatively low realised volatility.

Comments: The market is pricing in USMCA continuity after the current re-negotiation, leaving room for disappointment. Mexico's growth momentum faces notable downside risks, especially from inconclusive and stalled USMCA negotiations.

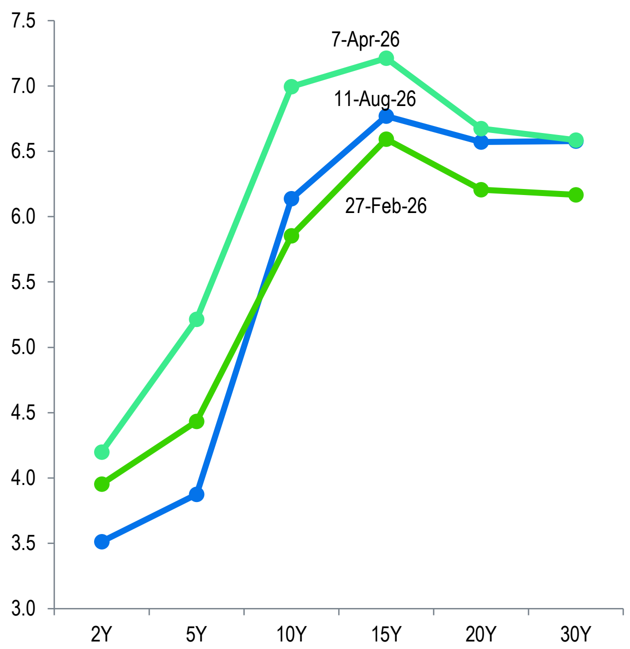
Source: Bloomberg, Standard Chartered Research

Latam – Local market views

Peru

Figure 33: We remain *Neutral* on Peru bonds

PEN Soberanos curve, %



Duration: We remain *Neutral.* 10Y bond yields have increased c.20bps since early June. Post-election profit-taking has likely run its course, but concerns about potential supply and the impact of this year's El Niño may be preventing a more sustained rally for now, in our view.

Curve: The Soberanos curve remains relatively steep, with carry and rolldown most attractive in the 5Y-15Y sector.

Positioning: Foreign holdings of Soberanos (c.49% of the total) have increased but are still below the pre-pandemic high of 56% in early 2019.

FX: We are *Neutral* on PEN following the market-friendly election outcome. Strong external accounts continue to support PEN, but continued BCRP intervention remains a headwind, particularly with Velarde's re-nomination as BCRP governor signalling continuity.

Comments: Key positives include greater political stability in a highly fragmented country and the expected growth focus by the Fujimori administration. However, fiscal consolidation may be slow, and a strong El Niño weather pattern this year could materially impact Peru's near-term growth and inflation outlook.

Source: Bloomberg, Standard Chartered Research

Forecasts – Rates

End-period		Current	Q3-26	Q4-26	Q1-27	Q2-27	Q3-27
United States	Policy rate	3.75	3.75	3.75	3.75	3.75	3.75
	SOFR	3.66	3.60	3.60	3.60	3.60	3.60
	2Y bond yield	4.20	3.80	3.90	4.00	4.00	4.00
	5Y bond yield	4.33	4.00	4.10	4.25	4.25	4.35
	10Y bond yield	4.62	4.50	4.60	4.70	4.70	4.85
Euro area	Policy rate	2.25	2.25	2.25	2.25	2.00	2.00
	3M EURIBOR	2.50	2.35	2.30	2.30	2.05	2.05
	10Y bond yield	3.13	3.00	3.10	3.00	2.90	2.90
United Kingdom	Policy rate	3.75	3.75	3.75	3.50	3.25	3.25
	SONIA	3.73	3.75	3.75	3.50	3.25	3.25
	10Y bond yield	4.92	4.70	4.60	4.50	4.50	4.60
Australia	Policy rate	4.35	4.35	4.35	4.10	3.85	3.85
China	Policy rate	1.40	1.40	1.40	1.40	1.40	1.40
	RRR (major banks)	7.50	7.25	7.25	7.25	7.25	7.25
	10Y bond yield	1.70	1.80	1.70	1.70	1.70	1.70
Hong Kong	1M HIBOR	2.63	2.80	2.80	2.80	2.80	2.80
	3M HIBOR	2.90	3.00	3.00	3.00	3.00	3.00
	3Y bond yield	3.04	2.60	2.65	2.70	2.70	2.70
India	Policy rate	5.25	5.25	5.25	5.25	5.25	5.25
	91-day T-bill rate	5.34	5.60	5.80	6.00	6.00	5.80
	10Y bond yield	6.83	7.00	6.80	6.80	6.60	6.40
Indonesia	Policy rate	5.75	5.75	5.75	5.75	5.75	5.50
	FASBI rate	4.75	4.75	4.75	4.75	4.75	4.50
	10Y bond yield	7.32	6.40	6.40	6.20	6.20	6.20
Malaysia	Policy rate	2.75	2.75	2.75	2.75	2.75	2.75
	3M KLIBOR	3.46	3.35	3.35	3.20	3.20	3.20
	10Y bond yield	3.73	3.55	3.50	3.50	3.40	3.40
Philippines	Policy rate	4.75	5.00	5.00	5.00	4.75	4.50
	Standing overnight deposit rate	4.25	4.50	4.50	4.50	4.25	4.00
	10Y bond yield	7.24	7.30	7.40	7.00	6.60	6.50
Singapore	SORA	0.90	1.10	1.20	1.40	1.60	1.60
	10Y bond yield	2.34	1.90	1.80	1.90	2.20	2.20
South Korea	Policy rate	2.75	2.75	3.00	3.25	3.25	3.25
	91-day CD rate	2.93	2.95	3.25	3.20	3.30	3.45
	10Y bond yield	4.25	3.90	3.90	3.80	3.80	3.70
Taiwan	Policy rate	2.00	2.00	2.13	2.25	2.25	2.25
	3M TAIBOR	1.68	1.68	1.80	1.93	1.93	1.93
	10Y bond yield	1.92	1.75	1.80	1.85	1.85	1.85
Thailand	Policy rate	1.00	1.00	1.00	1.00	1.00	1.00
	THOR	0.99	1.00	1.00	1.00	1.00	1.00
	10Y bond yield	2.07	1.80	1.80	2.00	2.10	2.10
Vietnam	Policy rate (Refi rate)	4.50	4.50	4.50	4.50	4.50	4.50
	Overnight VNIBOR	6.22	3.00	3.00	3.00	3.00	3.00
Ghana	Policy rate	14.00	12.00	12.00	12.00	12.00	13.00
	91-day T-bill rate	5.76	6.80	8.60	9.00	9.90	9.80
Kenya	Policy rate	8.75	8.75	9.00	9.50	10.00	10.00
	91-day T-bill rate	8.79	8.80	8.90	9.20	9.40	9.60
	10Y bond yield	12.20	13.60	13.70	13.70	13.70	13.80
Nigeria	Policy rate	26.50	26.50	26.50	24.00	22.00	18.00
	91-day T-bill rate	15.80	16.40	15.70	15.20	14.90	14.80
	10Y bond yield	16.72	18.50	17.80	16.50	16.30	16.10
South Africa	Policy rate	7.00	–	–	–	–	–
	91-day-T-bill rate	6.83	7.33	7.42	7.52	7.48	7.26
	10Y bond yield	8.50	8.30	8.40	8.50	8.50	8.50
Tanzania	Policy rate	6.00	6.25	6.25	6.25	5.75	5.75
	91-day T-bill	3.45	3.50	3.50	3.50	3.50	3.50
	10Y bond yield	10.87	10.75	11.00	11.50	12.00	12.10

Source: Standard Chartered Research

Rates Research trade recommendations dashboard

Figure 34: Performance summary, YTD 2026*

Positive		Negative	
54%	7	46%	6

*As of 12 August 2026

Figure 35: Standard Chartered Research outstanding rates trade recommendations

Trade	Current	Return*	Entry	Entry date	Target	Stop	Analyst(s)
Buy 12M SRBI, FX-hedged[#]	4.78%	76bps	4.78%	17-Jun-26	3.98%^	5.18%^	*Kulkarni, Sadasivam*
Nigeria – OMO bills offer steady returns	19.89%	-129bps	18.60	1-Apr-26	–[#]	24.00%	*Gadio*
Buy 30 March 2027 Egypt T-bills	26.28%	-293bps	23.35%	24-Mar-26	23.35%	27.00%	*Gadio, Agarwal*
Egypt – Buy 3Y local bond	24.23%	-38bps	23.85%	10-Oct-24	17.50%	27.00%	*Gadio*
Nigeria – Buy Feb 2034 NIGB bond	17.50%	200bps	19.50%	2-Apr-24	14.50%	23.00%	*Gadio*

* Does not represent total return; [#] Local currency-denominated returns assuming the position is held until maturity; Source: Standard Chartered Research

Figure 36: Standard Chartered Research closed rates trade recommendations

Trade	Entry date	Closing date	Entry level	Closing level	Gain/loss	Analyst(s)
Buy 3Y BDT bond	4-Feb-26	19-May-26	9.85%	10.10%	+0.68%*	*Sadasivam, Kulkarni*
Buy 3Y LKR bond	4-Feb-26	19-May-26	9.57%	10.75%	-4.97%*	*Sadasivam, Kulkarni*
India – 1Y/5Y NDOIS steepener	21-Jan-26	27-Mar-26	51bps	61bps	+10bps	*Kulkarni*
Pay 5Y KRW IRS vs Receive 5Y THOR	15-Jan-26	20-Mar-26	195bps	207bps	+12bps	*Ghosh, Park, Tim*
South Korea – 3Y/10Y IRS steepener	14-Jul-25	20-Mar-26	25bps	20bps	-5bps	*Ghosh, Park*
Philippines – Close long 3Y RPGBs	25-Feb-26	6-Mar-26	5.33%	5.60%	-27bps	*Ghosh, Jonathan*
Korea – Close receive 3Y swaps	26-Feb-26	4-Mar-26	3.14%	3.30%	-16bps	*Ghosh, Park*
Singapore – Take profit on receive 5Y SORA	22-Jan-26	13-Feb-26	1.90%	1.70%	+20bps	*Ghosh*

*Inclusive of bond carry, duration and FX returns; Source: Standard Chartered Research

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Material changes to our views

	Change	Period	Prior	New
Rates				
Colombia	3M outlook	NA	POSITIVE	NEUTRAL
Kenya	3M outlook	NA	DEFENSIVE	NEUTRAL
Singapore	3M outlook	NA	POSITIVE	NEUTRAL
Tanzania	3M outlook	NA	NEUTRAL	DEFENSIVE

Disclosures appendix

Analyst Certification Disclosure: The research analyst or analysts responsible for the content of this research report certify that: (1) the views expressed and attributed to the research analyst or analysts in the research report accurately reflect their personal opinion(s) about the subject securities and issuers and/or other subject matter as appropriate; and, (2) no part of his or her compensation was, is or will be directly or indirectly related to the specific recommendations or views contained in this research report. On a general basis, the efficacy of recommendations is a factor in the performance appraisals of analysts.

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Gordian Kemen holds a long position in the following financial instruments: EMLC.US; VEGBX.US

Valuation & methodology – Rates

Standard Chartered Research assigns a local-currency debt recommendation to each issuer based on our fundamental view of the issuer and the relative value of its debt securities issued in local currency, taking into account the ratings assigned to the issuer by credit rating agencies and the valuations of the issuer's securities, or of actively traded derivative instruments such as interest rate swaps and futures. Our fundamental view of an issuer is based on our opinion of currency, interest rate, fiscal, debt and growth dynamics in its local-currency bond markets, as well as expected demand and supply patterns, using both top-down and bottom-up metrics. Our recommendations for individual issuers are based on our view of their ability to outperform their respective sector in total-return terms. This typically incorporates our views on credit fundamentals, market technicals and interest rates, in the context of our broader views on market risk conditions.

Recommendation structure – Rates

	Standard Chartered terminology	Impact	Definition
Issuer recommendation	Positive	Outperform	We expect the total return of the issuer's local-currency bond complex in USD terms to <IMPACT> in comparison to other issuers under our coverage* over the next 3 months
	Neutral	Perform in line	
	Defensive^	Underperform	

**See https://research.sc.com/research/api/application/static/forecasts#rates for our full rates coverage universe and current recommendations.*

^As of 9 November 2024, Defensive outlook replaces Negative outlook.

Standard Chartered Research offers trade ideas with outright Buy or Sell recommendations on bonds as well as pair trade recommendations among bonds and/or CDS. In Trading Recommendations/Ideas/Notes, the time horizon is dependent on prevailing market conditions and may or may not include price targets.

Recommendation distribution – Rates (as of 13 August 2026)

3M duration outlook	Coverage percentage	(IB%)
Positive (Buy)	11%	(0.0%)
Neutral (Hold)	86%	(29.0%)
Defensive (Sell)	3%	#######
Total (IB%)	**100%**	**(27.8%)**

IB% - Percentage of investment banking clients in each rating category

For full Standard Chartered Research recommendations history for the past 12 months, please see https://research.sc.com/disclosures/credit.html. For conflict disclosures, see https://research.sc.com/disclosures/conflict.html.

For issuers covered by Standard Chartered Securities (North America), LLC only.

Issuer recommendation history (3 years) – Rates

Issuer	Date	3M outlook
Brazil Rates	12-Jun-2025	POSITIVE
	10-Oct-2024	NEUTRAL
	8-Jul-2024	POSITIVE
	4-Jun-2024	NEUTRAL
Chile Rates	1-Mar-2024	NEUTRAL
	5-Dec-2023	NEGATIVE
Colombia Rates	13-Aug-2026	NEUTRAL
	11-Jun-2026	POSITIVE

	12-Jun-2025	NEUTRAL
	19-Dec-2024	POSITIVE
	13-Nov-2024	NEUTRAL
	7-May-2024	POSITIVE
Mexico Rates	13-May-2026	POSITIVE
	12-Mar-2026	NEUTRAL
	8-Jan-2026	POSITIVE
	4-Jun-2024	NEUTRAL
	5-Dec-2023	POSITIVE
	1-Nov-2023	NEUTRAL
Peru Rates	13-May-2026	NEUTRAL
	13-Nov-2025	POSITIVE
	15-Jul-2025	NEUTRAL
	4-Jun-2024	POSITIVE
	7-May-2024	NEUTRAL
	1-Nov-2023	POSITIVE
Türkiye Rates	12-Mar-2026	NEUTRAL
	9-Feb-2026	POSITIVE

Regulatory Disclosure

Subject rates issuers: Brazil Rates, Chile Rates, Colombia Rates, Czech Republic Rates, Egypt Rates, Ghana Rates, Hungary Rates, India Rates, Indonesia Rates, Kenya Rates, Malaysia Rates, Mexico Rates, Nigeria Rates, Pakistan Rates, Peru Rates, Philippines Rates, Poland Rates, Singapore Rates, South Africa Rates, South Korea Rates, Tanzania Rates, Thailand Rates, Türkiye Rates, Uganda Rates, Zambia Rates

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